

H3G Key Account Strategy Workshop

Department name: H3G

Author's name:

Date: 3/12/2025



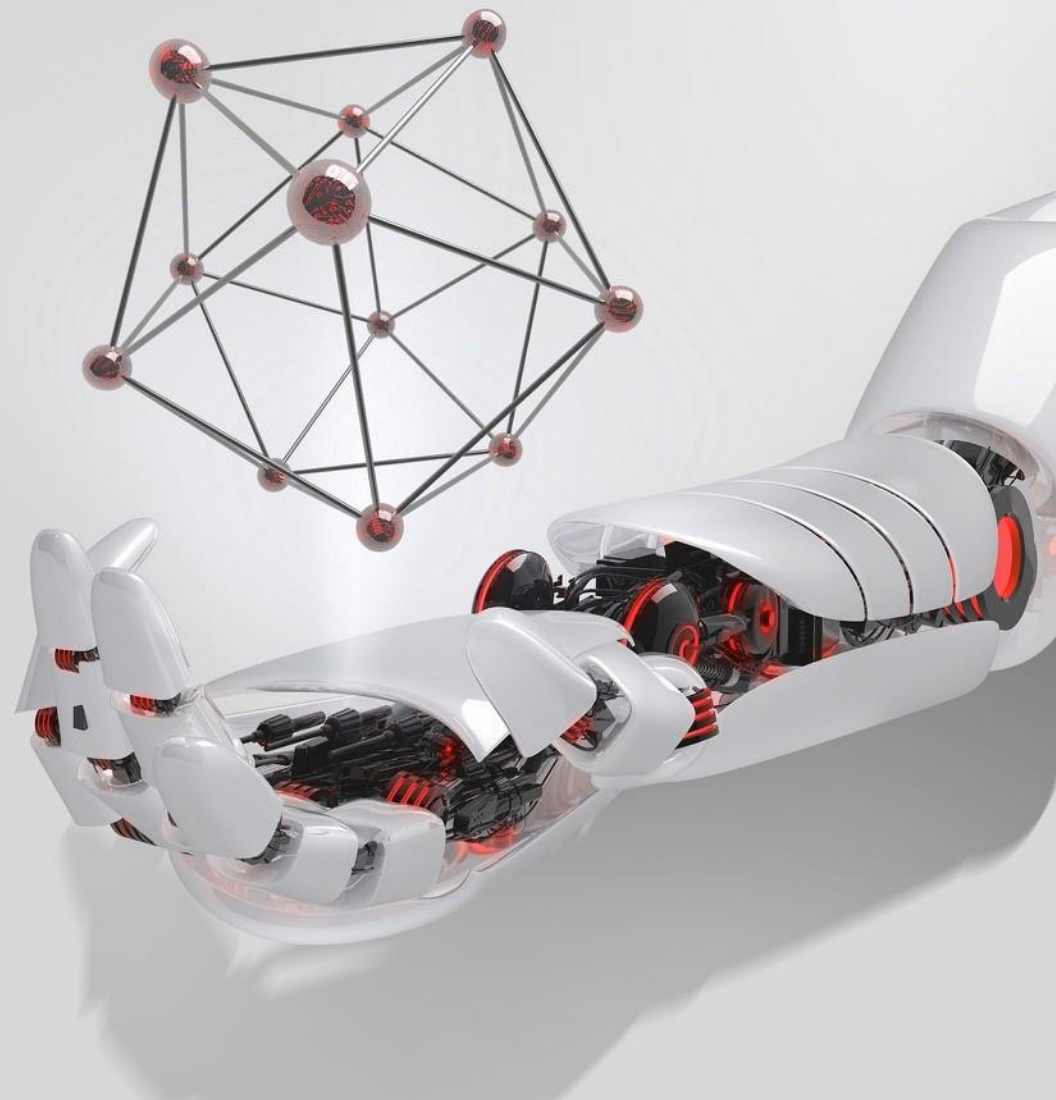
Security Level:



Contents

- 1. H3G Business Overview**
- 2. H3G Strategies**
- 3. Benchmarking & Competitor Analysis**
- 4. Step-by-Step Actions and Levers for Business Growth**
- 5. Hutchison Company Structure & Customer Relationship Mapping**
- 6. Technical and Commercial Ranging Process**

H3G Business Overview

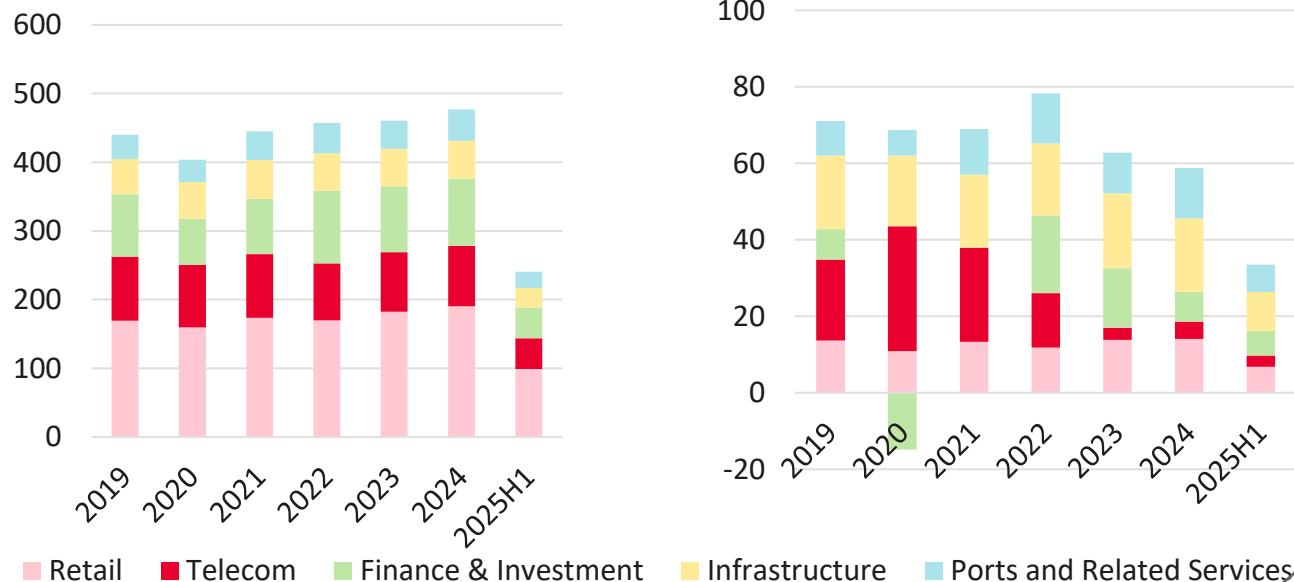


Business Performance: CKH Telecom Faces Significant Profit Stress Since Pandemic

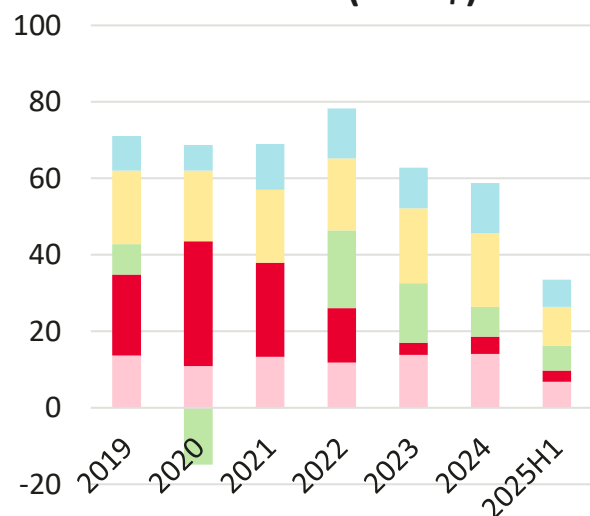
Hutchison Group Overview

- CK Hutchison is a global multi-sector business. CKHGT (CK Hutchison Group Telecom) is the 2nd biggest revenue contributor to Hutchison group and used to be the major profit contributor.
- In 2024, Telecom contributes 21% revenue but only 8% profit, which is **the least profitable segmentation**.

CKH Group Revenue
2019-2024 (B HK\$)



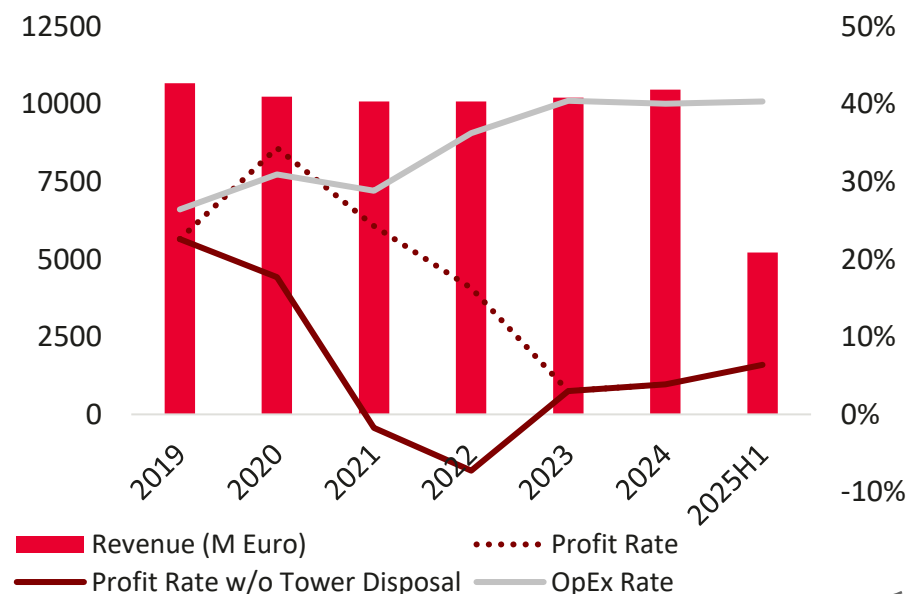
CKH Group EBIT
2019-2024 (B HK\$)



Telecom Business Overview

- During 2021-2022, CKHGT profit came from the disposal of the tower assets in Europe, while the **core business experienced a loss**.
- From 2023, the net profit came back to positive, but the **high Opex rate** restraint the business performance.

CKHGT Financial Performance
2019-2025H1

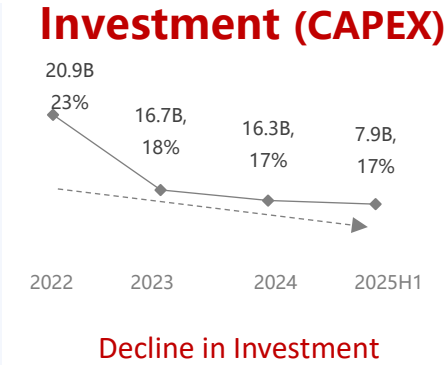
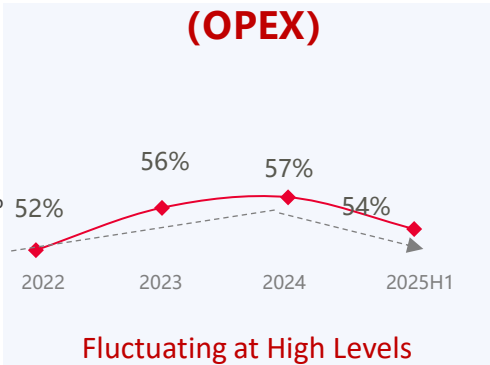
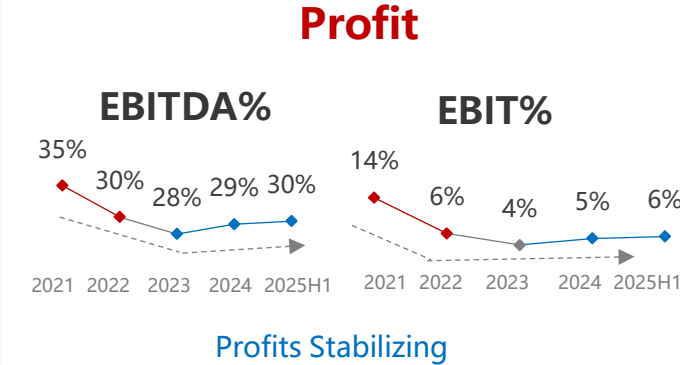
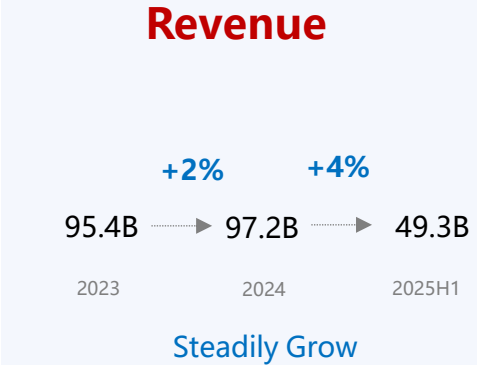


Revenue Growing in Europe & Hong Kong, Profit is Recovering But Remains Low, High OPEX Ratio Continues to Limit Investments

Billion HKD

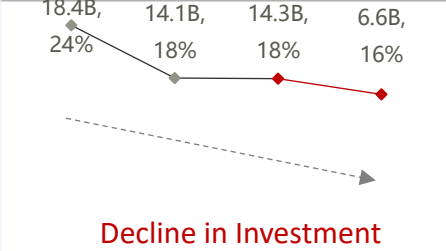
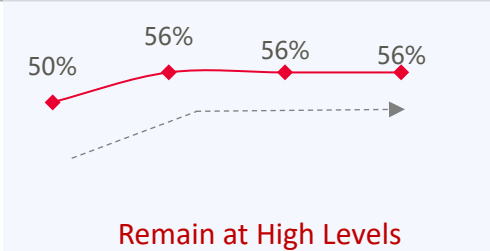
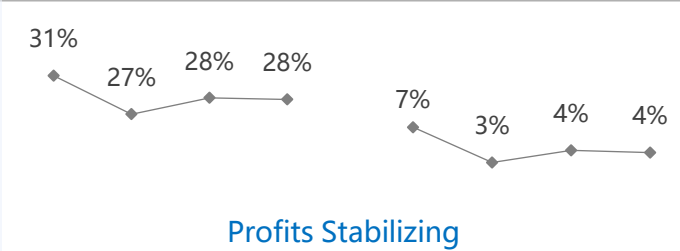
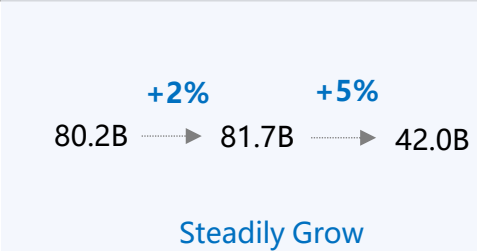
 Steady growth with profits bottoming out, decline in investment.

H3G



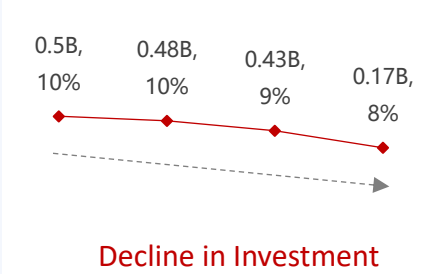
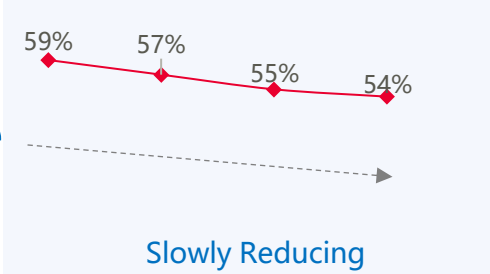
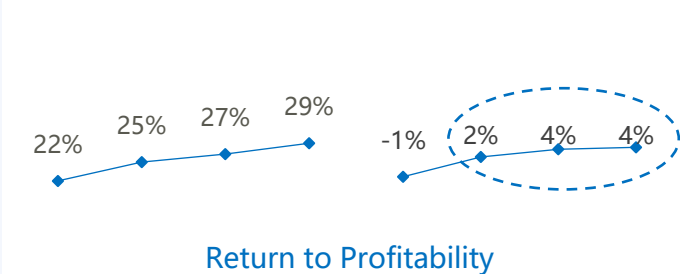
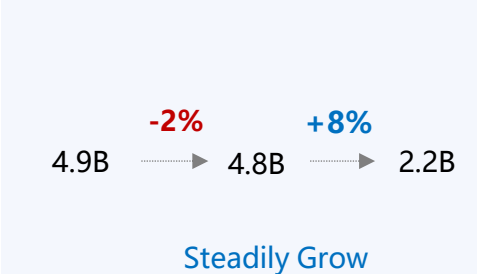
 Steady growth with stable profit, decline in investment

Europe



 Roaming services drive revenue increase, return to profitability, continued decline in investment.

HK

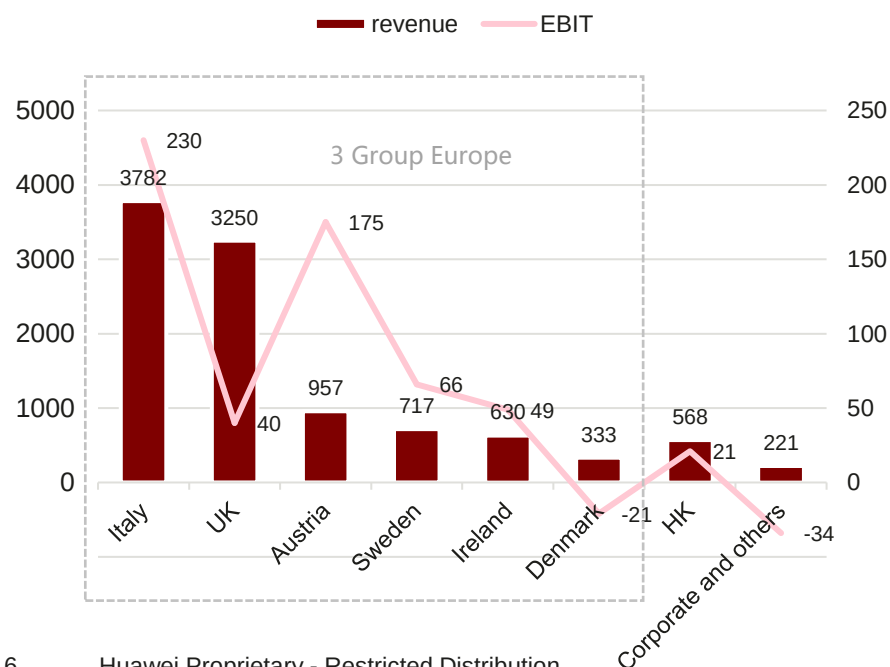


Users Distribution: CKHGT Focuses in West Europe and Mobile Network

Europe is the Major Region

3 Group Europe contributes over 92% revenue in Telecom business. Italy and UK are the most important OpCos.

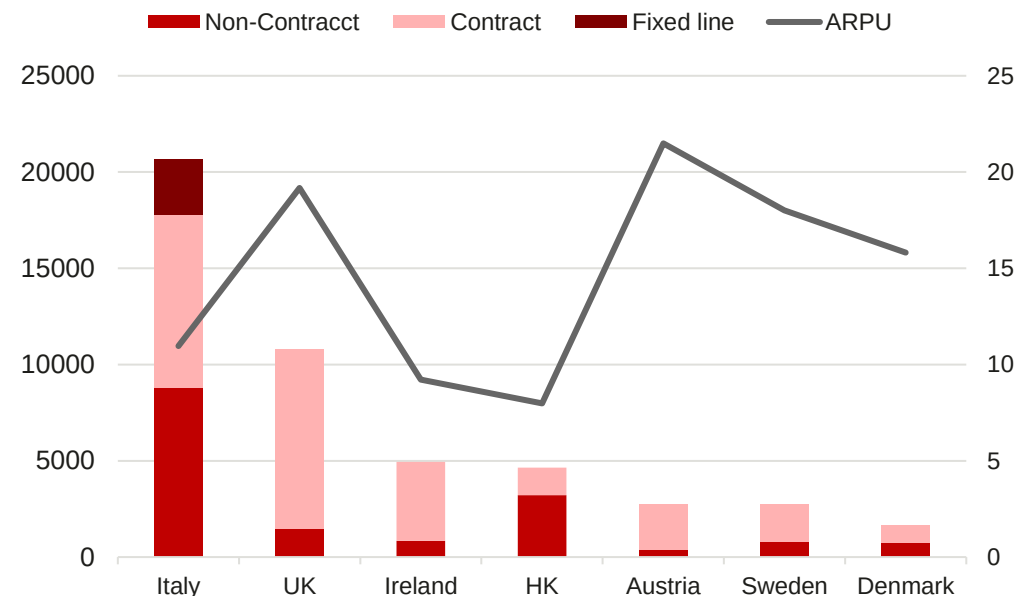
2024 CKHGT Total Revenue and Profit (Euro Million)



Focus on Mobile Network

H3G have more than 45M mobile network active users and 2.7M fixed line users (Italy only). Unlike the other MNOs, H3G focuses on mobile and FWA segmentation.

2024 CKHGT Active User ('000) and ARPU (€)



Opex is the Common Challenge for All Opcos, While CAC And ARPU are Stressed in Main Opcos.

Contract Customer (M)

Non-Contract Customer (M)

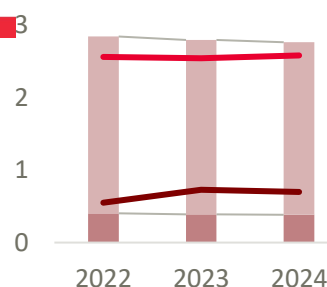
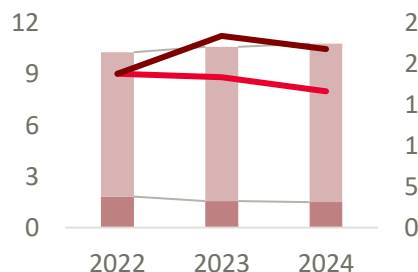
CAC (Customer acquisition and retention costs, €)

ARPU (Average Monthly Revenue per Active User, €)



Extremely high customer acquisition and retention costs (>10% revenue) while ARPU continues dropping.

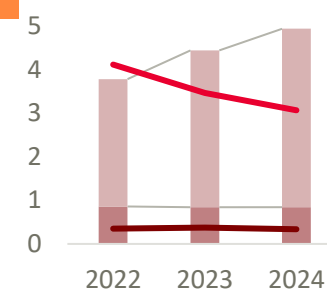
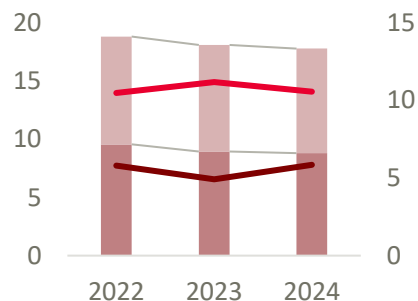
- Focuses on the cost and capex synergies after VDF3 merger completed



- Most valuable OpCo with the highest ARPU but the **customer base keeps dropping** due to the intensive competition from MVNOs.



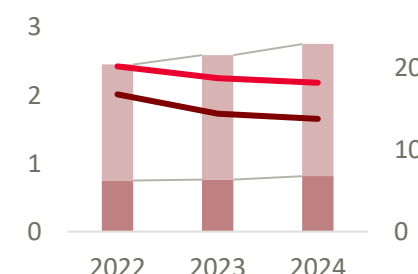
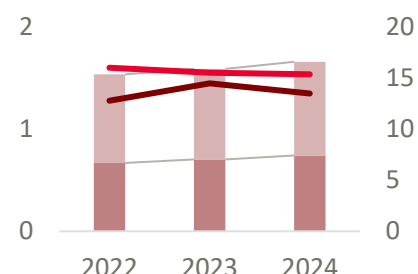
- Both contract and non-contract **customer base dropped** while ARPU keeps stable
- No growth for core business, relying on new business unit such as insurance or cybersecurity



- The only OpCos experiencing significant customer base boosting but the **ARPU dropped fast (10%+ annually)**. Higher mix of low value IoT customers



- Relatively steady moderate growth in both customer base and revenue.
- Both contract and non-contract customer base increased slightly while **ARPU keeps dropping**

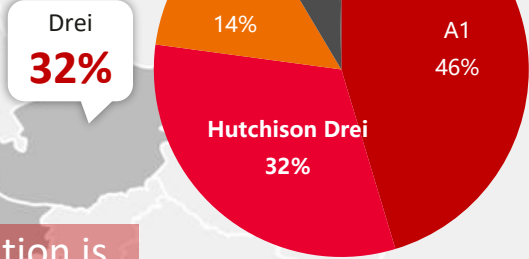
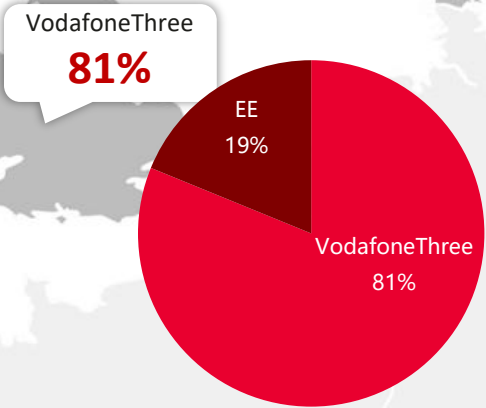
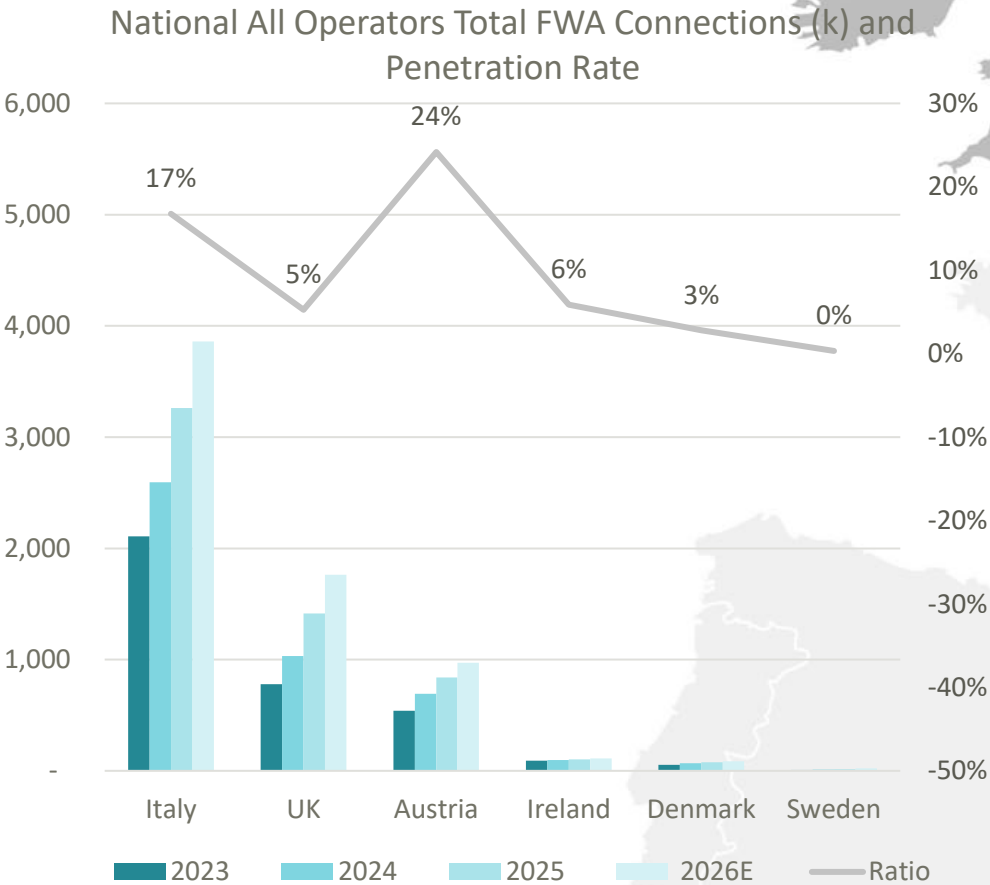


FWA: Hutchison Has High FWA Market Share in High-value OpCos

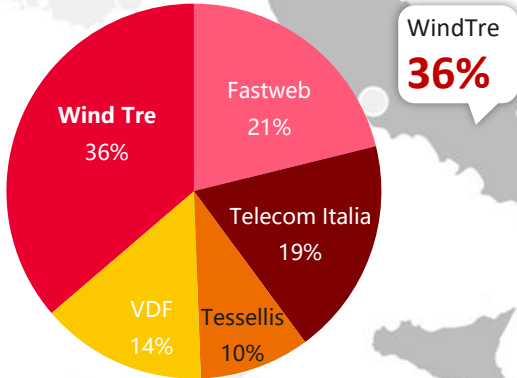
Italy, UK, and Austria are the core OpCos with huge market size or high FWA penetration rate

VodafoneThree is the leader of FWA in the UK market.

The FWA adoption in Austria is very high, while Drei is the 2nd player in the market.



Italy FWA market competition is more intensive. All the major operators offer FWA solutions.



CKHGT Network Partnership: Ericsson is the Primary Partner in Network

	4G CORE	4G RAN	5G CORE	5G RAN
AT	ZTE	ZTE	ZTE	ZTE
DK	ERICSSON	ERICSSON	ERICSSON	ERICSSON
IR	ERICSSON	SAMSUNG → ERICSSON	RFP	ERICSSON
IT	ERICSSON	ZTE ERICSSON	ERICSSON	ERICSSON ZTE
SE	ERICSSON	ERICSSON	ERICSSON	ERICSSON
UK	NOKIA ERICSSON	SAMSUNG ERICSSON HUAWEI	NOKIA ERICSSON	ERICSSON HUAWEI
HK	HUAWEI	HUAWEI	HUAWEI	HUAWEI

H3G Partners: ZTE & Zyxel are Main Competitors in FWA, Apple & Samsung Wearables are Partnering across All Opcos, Huawei Smartphones is in Close Collaboration with HK Opco

	smartphones	FWA	wearables
	Supplier	Volume	Supplier
AT	   	30k	   
DK	    	40k	 
IR	    	35k	    
IT	      	200k	    
SE	     	30k	 
UK	     	300k	  
HK	       	50k	  

H3G Business Pain Points Summary

- Heavy investment in network/technology with high OPEX



- Customer churn



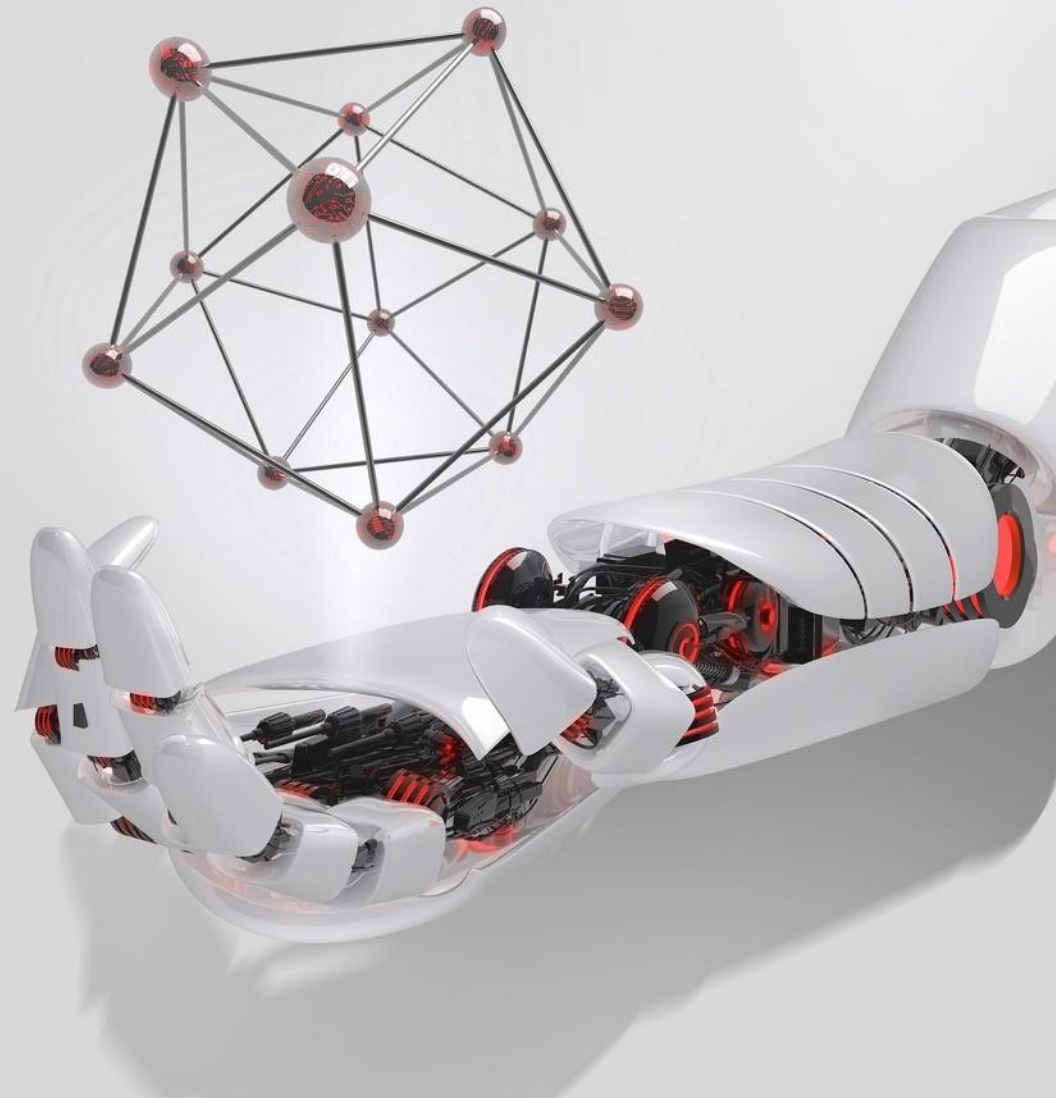
- high customer acquisition and retention costs



- Declining or flat ARPU



H3G Strategies



Hutchison Telekom Key Business Strategies

““““focus on delivering stable underlying performance *through growing the customer base, continuing revenue initiatives, stringent cost discipline and stabilizing depreciation* under tight management of capital spending”””” Comprehensive review exercise to *identify major opportunities* to increase productivity and reduce costs over the next five years”

——<CKH 2024 Annual Fiscal Report Telecommunications Outlook>

Increase contract customer base

- > Flexible Tariff Propositions
- > Handset Financing Arrangement

Enhancing cost structure

- > Improve cost efficiencies
- > Stringent controls over CAC

Expanding revenue streams

- > **FWA:** growth driver in 2024, margin improvement in 2025.
- > **AI Application:** Generative AI Virtual Agents and industry-specific predictive analytics system.
- > **Accessories:** Continue to support an extended range of products and 5G service.
- > **Partnerships:** develop new product offerings and bundled propositions (insurance, utilities, etc.)

Strategy 1: Heavy Investment in Wider and Better Network Coverage

VF3: Extensive new 5G SA base station deployment across all UK regions, with shared spectrum and co-location to accelerate buildout

2025 (current baseline):

- 71% 5G SA coverage
- 8600 sites switched on to share network access
- 16500 km² more area has 4G coverage

2027:

- 90% 5G SA coverage

2034:

- 99.95% 5G SA coverage (near-universal)
- £11billion accumulated investment from 2025

W3: refreshing its network infrastructure to handle rapidly growing mobile and fixed-network traffic

2024:

- acquire Italian FWA specialist OpNet for **€485 million**, picking up spectrum assets and 5G SA network in the process.

2025:

- advances 5G offer with Juniper network architecture
- upgrades its IP core network, internet gateways and network termination points as part of the refresh

3AT: €1.2 billion for 5G nationwide expansion, extending beyond 2025

This is how 5G works .

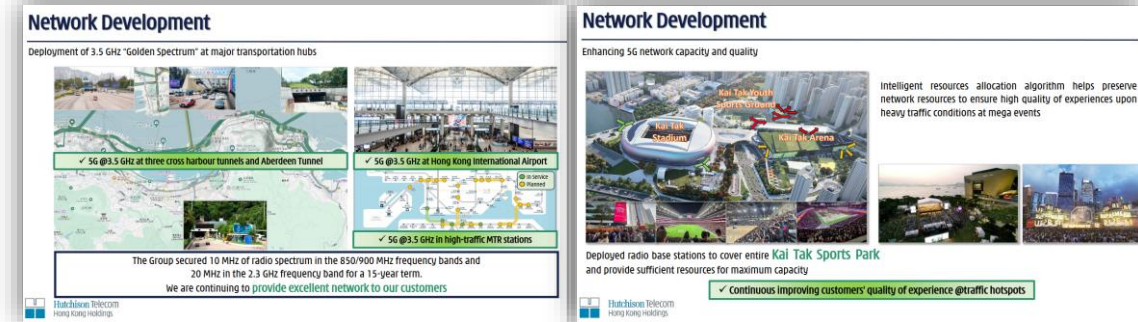
We are building Austria's most modern network.

As part of the **largest investment initiative** in our company's history, we are currently building a **completely new, independent 5G network**. By the end of 2025, this will reach **approximately 95% of all households and businesses throughout Austria**. As part of our 5G rollout, we have committed to connecting 738 municipalities without adequate internet access to the 5G network by then.

Our goal: incredible speeds across the country, new standards in network quality, significantly increased network capacity, real-time data exchange, and even considerably lower energy consumption than previous standards.

- Aim to reach **95%** of all households and companies in Austria with their new 5G-network.

3HK: continue expanding the 5G network in high-traffic locations, enhancing 5G network capacity and quality



Strategy 2: Customer Acquisition with Flexible Tariff Plans and Time Limited Offers

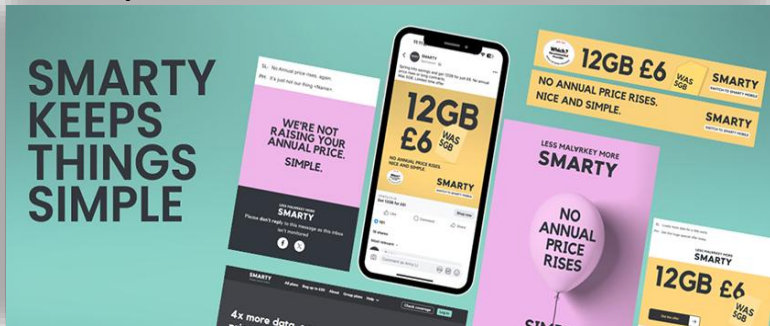
flexible, non-contract, low budget plans to attract young consumers



relaunched **up³**, a brand to attract young, convenience-driven users. It highlights a **flexible plans that can be paused/upgraded anytime**, with free number portability and a super low budget option.



launched **Smarty**, a SIM-only mobile network, its positioning is around **simplicity, transparency and no hidden fees, no contract lock-ins, no annual price rises**.



seasonal offers



During summer (graduation and moving season), launch affordable tariff package for **18-27 yr young adults**.



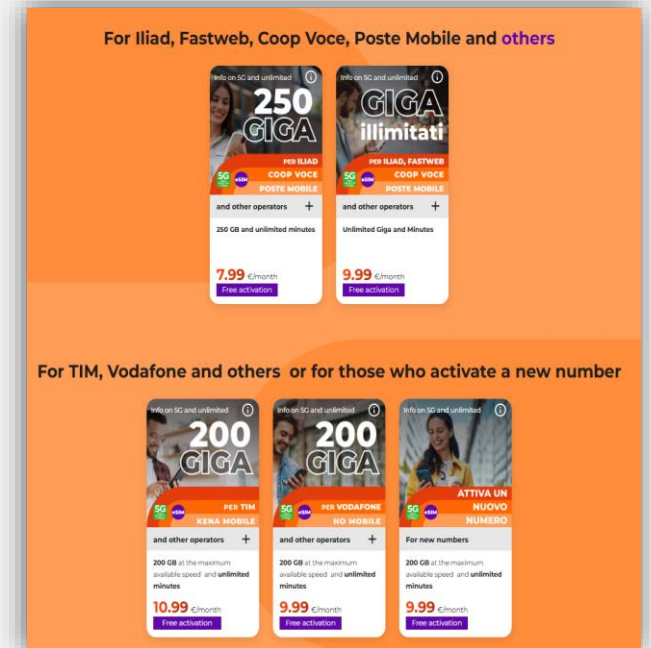
1-month free upgrade promotion from 4G to 5G for customers visiting WINDTRE stores, from May to June, 2025.



exclusive tariff offers for customer transferring from other competitors



Italy is a strong non-contract market where customer moves frequently among different operators. **WindTre offer different tariff for customers transferring from different competitors**, achieving more competitive pricing.



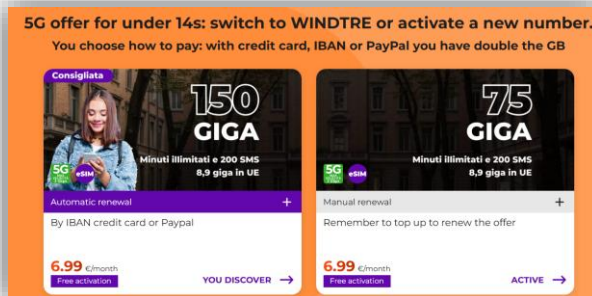
Strategy 2: Customer Acquisition with Flexible Tariff Plans and Time Limited Offers

Diverse tariff, handset, and protection service for kids Grow customer loyalty of the next generation

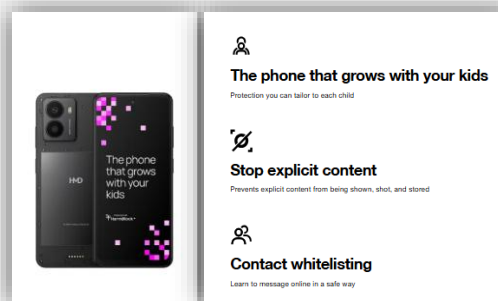
-  Free kid's tariff for families with 2 users already
-  Safe surfing protection APP for 49.9 per year



-  Affordable kid-only tariff including kids protection feature



-  Kids phone with protection feature



Scenario-Based Tariff Plans

-  Dedicatedly design tariff package for customers travelling globally and visiting OpCos, including roaming and international calls. .

MOBILE

Giga and Minute Offers

Data only

Voice only

Home automation

Under 14

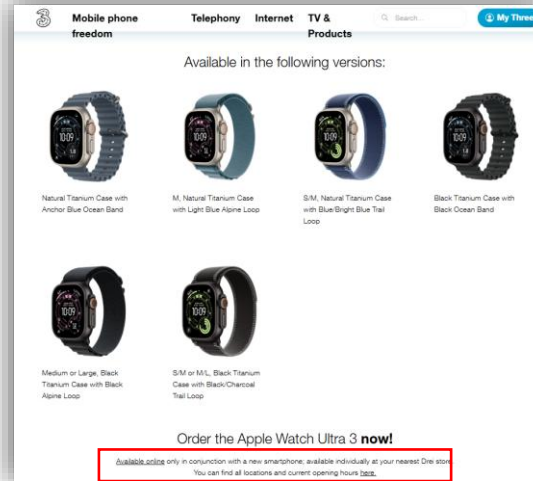
Offers Abroad

Offers for tourists in Italy

Strategy 3: Bundling Offers to Improve ARPU and Customer Retention

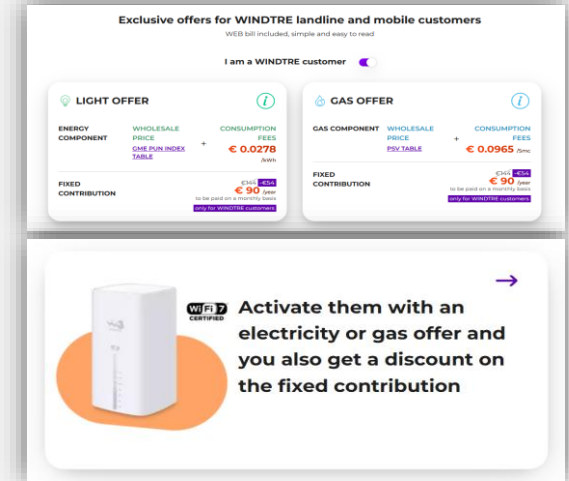


3 AT: Linking wearable sales exclusively to a smartphones is a strategic bundle –boost handset revenue and increase customer loyalty.



W3: Home Broadband & Energy Discount Bundling

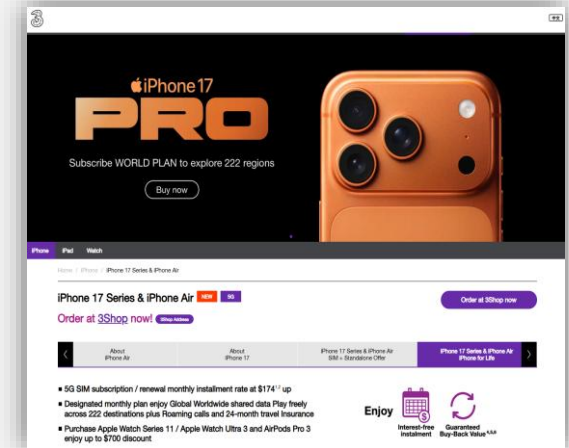
WindTre is partnering with an energy supplier and allow users to pay their utilities bills on the WindTre website with exclusive discounts. They are also attracting new FWA users with gas or electricity offer.



3 UK: About 25% discount to get a mobile tariff for those who gained home broadband – Increased customer loyalty and ARPU by making it more difficult and costly to switch to a competitor.



3 HK: Bundled offerings integrate handsets, wearables, audio, eyewear, and extended warranty - increase ARPU and customer stickiness.



Strategy 4: Restraint OpEx through Vendors Management

Looking for installation-free solution for home broadband

For **outdoor CPE**, UK offers no-installation solution, Italy and Ireland offer free installation service, Austria offers installation service for €99.

Home Broadband plans

[Check your coverage](#) then choose from one of our brilliant Three Home Broadband deals.

Low price

Unlimited data
24 month plan

Price:
£21.00
a month

£21.00 per month, increasing to £23.00 from Apr26, £25.00 from Apr27. [\[1\]](#)

What's included?

- ✓ Average download speeds of 150Mbps[2]
- ✓ 30-day money back guarantee
- ✓ Order before 8pm for next working day delivery
- ✓ **No landline. No engineer. Plug and play set up**

Buy now

Unlimited data
12 month plan

From:
£24.00
a month

£24.00 per month, increasing to £26.00 from Apr26. [\[1\]](#)

What's included?

- ✓ Average download speeds of 150Mbps[2]
- ✓ 30-day money back guarantee
- ✓ Order before 8pm for next working day delivery
- ✓ **No landline. No engineer. Plug and play set up**

Buy now

Device Return Policy for Home Broadband Customers

- Most OpCos require consumers to return the device when the contract terminates, reducing the costs for new devices while requiring better quality and durability.

Is the device required to be returned when the contract ends?

OpCos	IDU	ODU
UK	✓	✓
IR	✓	✓
IT	✗	✗
DK	✓	-
SE	✗	-
AT	✗	✗
HK	✓	-

Pursuing more flexible delivery and fulfillment from suppliers

- For home broadband devices, H3G requires the stock level DOS < 30 days (included in supply chain executive KPI);
- Sales forecast updated in 4-8 weeks, requiring vendors to commit to sell-in plan modify in a short notice.

Huawei E5783-230a 4G Black Classification: C Modem	PLAN	REGS	PLAN											
	08 Sep	08 Sep	15 Sep	22 Sep	29 Sep	06 Oct	13 Oct	20 Oct	27 Oct	03 Nov	10 Nov	17 Nov	24 Nov	
	0	0	1	2	3	4	5	6	7	8	9	10	11	
	WK 37	WK 37	WK 38	WK 39	WK 40	WK 41	WK 42	WK 43	WK 44	WK 45	WK 46	WK 47	WK 48	
Opening warehouse stock		4,857	4,707	4,557	4,228	4,078	3,928	3,778	3,449	3,300	3,150	3,000	2,639	
Opening Retail stock		1,450												
Total stock		6,307												
Demand/ Shipment history		150	150	150	329	150	150	150	329	149	150	150	361	180
Demand Week 5		260	260	150	150	150	150	150						
Accuracy @ 6		58%	53%	100%	100%	100%	100%							
Current Intake Plan/ Intake history														
Commit Changes														
Intake required														
Intake supported														
Opening warehouse stock		4,857	4,707	4,557	4,228	4,078	3,928	3,778	3,449	3,300	3,150	3,000	2,639	
Closing Stock with Intake planned		4,707	4,557	4,228	4,078	3,928	3,778	3,449	3,300	3,150	3,000	2,639	2,459	
Stock days with intake planned		169	164	152	147	141	136	124	114	105	96	82	57	
Opening stock with intake required		4,857	4,707	4,557	4,228	4,078	3,928	3,778	3,449	3,300	3,150	3,000	2,639	
Closing stock with Intake required		4,707	4,557	4,228	4,078	3,928	3,778	3,449	3,300	3,150	3,000	2,639	2,459	
Stock days with Intake required		169	164	152	147	141	136	124	114	105	96	82	57	
Opening stock with intake supported		4,857	4,707	4,557	4,228	4,078	3,928	3,778	3,449	3,300	3,150	3,000	2,639	
Closing stock with intake supported		4,707	4,557	4,228	4,078	3,928	3,778	3,449	3,300	3,150	3,000	2,639	2,459	
Stock days with Intake supported		169	164	152	147	141	136	124	114	105	96	82	57	

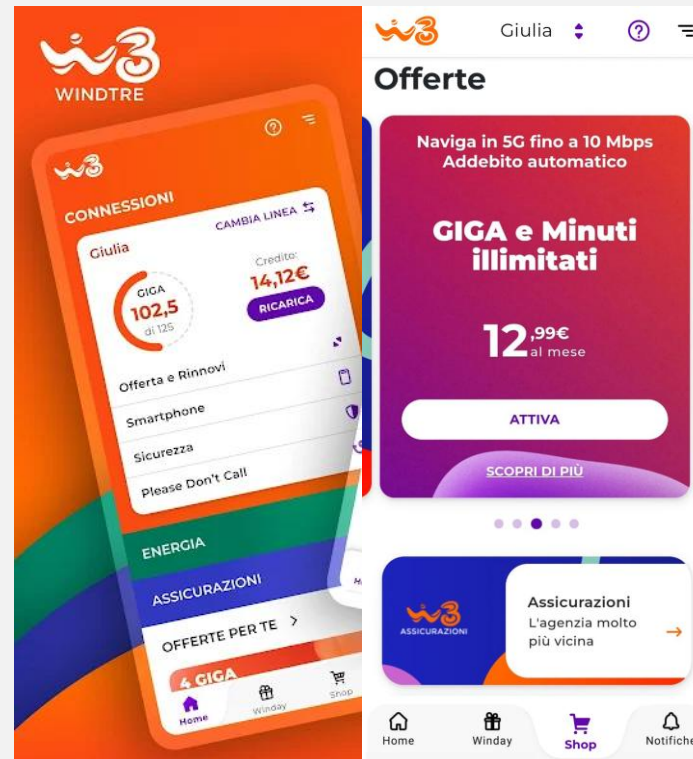
Strategy 5: Diverse Business to Gain Contract Consumers

In Italy and Austria, H3G is working on diverse revenue stream to reach more long-term contract consumers such as utility, insurance, media, cybersecurity, etc. These customers usually have higher loyalty to the service providers, and H3G will be able to reach out frequently.

Multiple Business Portfolio Improves Long-term Customer Lifetime Value

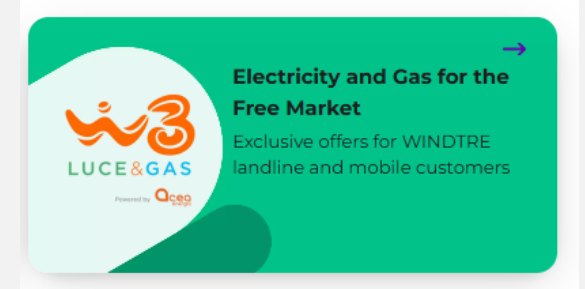
Business Portfolio	WindTre	Drei
Fibre	✓	✓
FWA	✓	✓
Mobile	✓	✓
Energy	✓	✓
Individual Insurance	✓	✓
Business Insurance	✓	×
Smart Home	✓	×
TV	×	✓
Cyber Security	✓	×

All-in-one App: Easy to management and send telecom offer to utility customers



Bundle to Improve ARPU

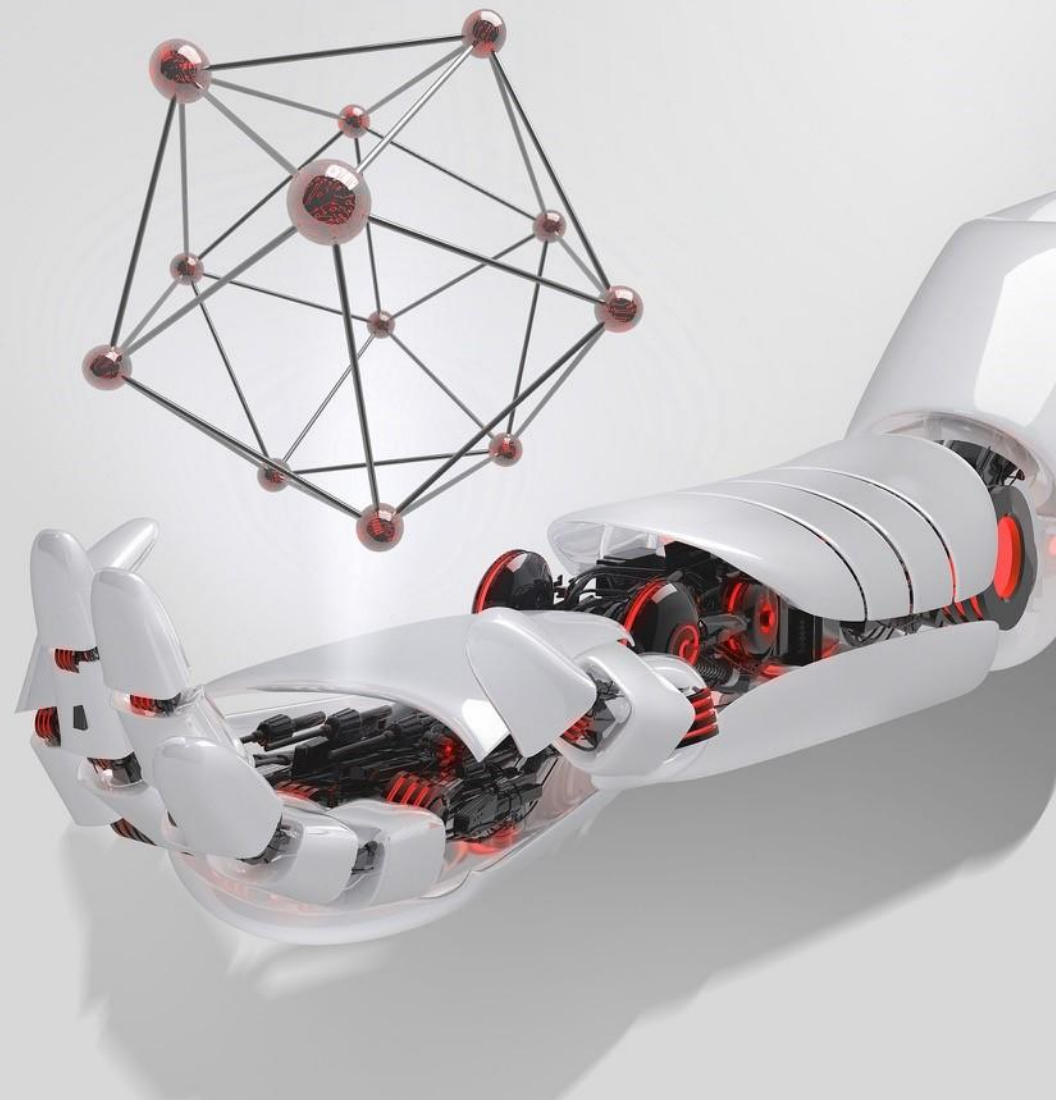
FWA + Utility



Any SIM + Cybersecurity



Benchmarking & Competitor Analysis

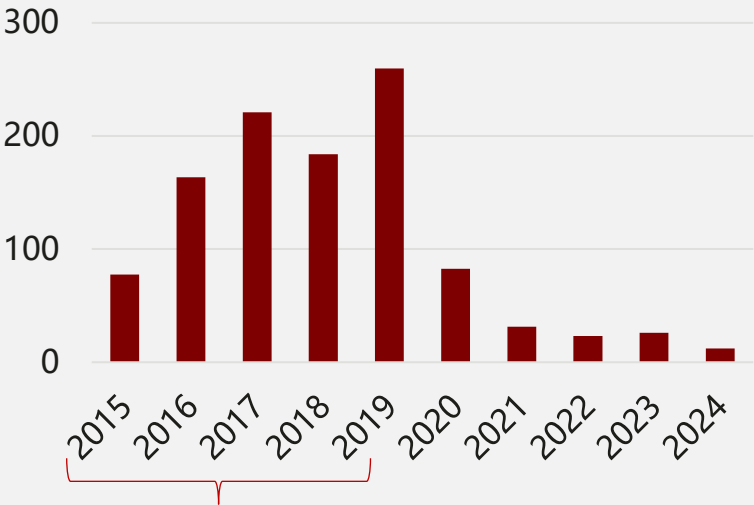


HUAWEI Portfolio within H3G Channels: Solid Collaboration Foundation With Hutchison On 4G/5G MBB Products

Huawei CBG Revenue

- HUAWEI and H3G used to have strong cooperation in smartphone business;
- Currently, Hongkong is the only OpCo maintaining smartphone business (Full range listed).

H3G & HUAWEI Sales Value
2015-2024 (\$Million)

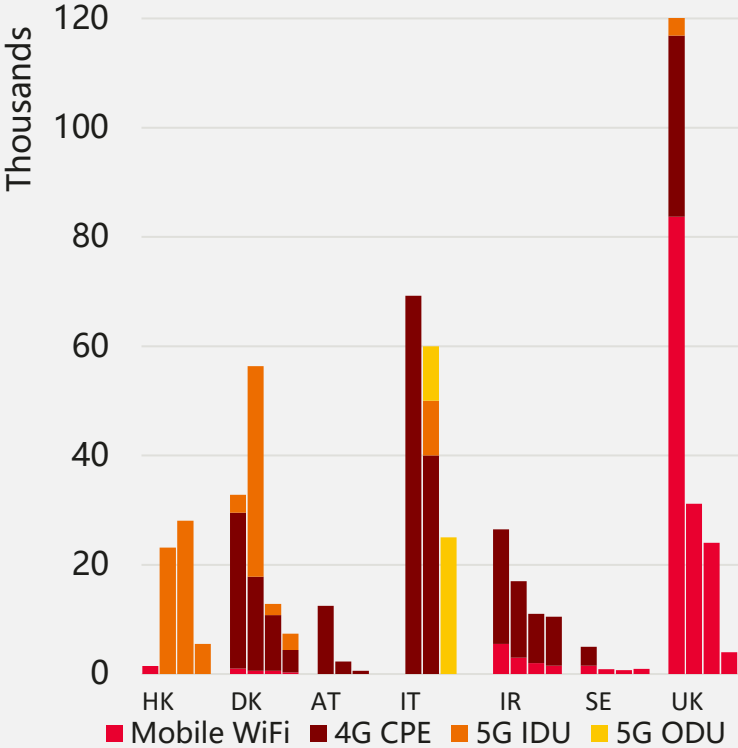


More than 80% came from smartphone

FWA

- In home broadband business, HUAWEI is the 4G device vendor for all European OpCos, and had good cooperation in 5G device in Italy and Denmark.
- In 2026, 5G device cooperation in Europe will recover.

HW Home Broadband Sales Volume (k)
2022-2025



5G Vendor for H3G 2023-2025

	2023	2024	2025
AT	ZTE	ZTE	ZTE
DK	NETGEAR HUAWEI	oppo HUAWEI	Vantiva ZYXEL NETWORKS
IR	ZTE	ZTE	ZTE
IT	ZYXEL NETWORKS HUAWEI	TDTECH HUAWEI	TCL ZYXEL NETWORKS NOKIA
SE	ZYXEL NETWORKS	ZYXEL NETWORKS	ZYXEL NETWORKS
UK	ZTE ZYXEL NETWORKS	ZTE ZYXEL NETWORKS	ZTE greenpacket
HK	ZTE HUAWEI	ZTE HUAWEI	ZTE HUAWEI

Competitive Benchmark & Gap (1)– HUAWEI vs. H3G Requirements: Compliance risk Concerns, Business Environment Impact, Roadmap Alignment Needs Improvement, Limited Network Collaboration



Compliance Concerns:

- 5G CPE supply in UK, Sweden
- 5G Smartphone unable to sell in EU



Ability Gap:

- Wi-Fi 7 4*4
- AI function on terminal devices



FWA Range Preference & Competition:

- Only 1 Mainland China supplier
- Wide supplier pool (HUAWEI, ZTE, Zyxel, TCL, TD Tech, Netgear, OPPO, Greenpacket, etc.)
- Pursue extreme price



Network:

- limited cooperation on both CORE and RAN network in Europe.
- Consumer 5G SA network commercialization

Competitive Benchmark & Gap (2): HUAWEI vs. Competitors

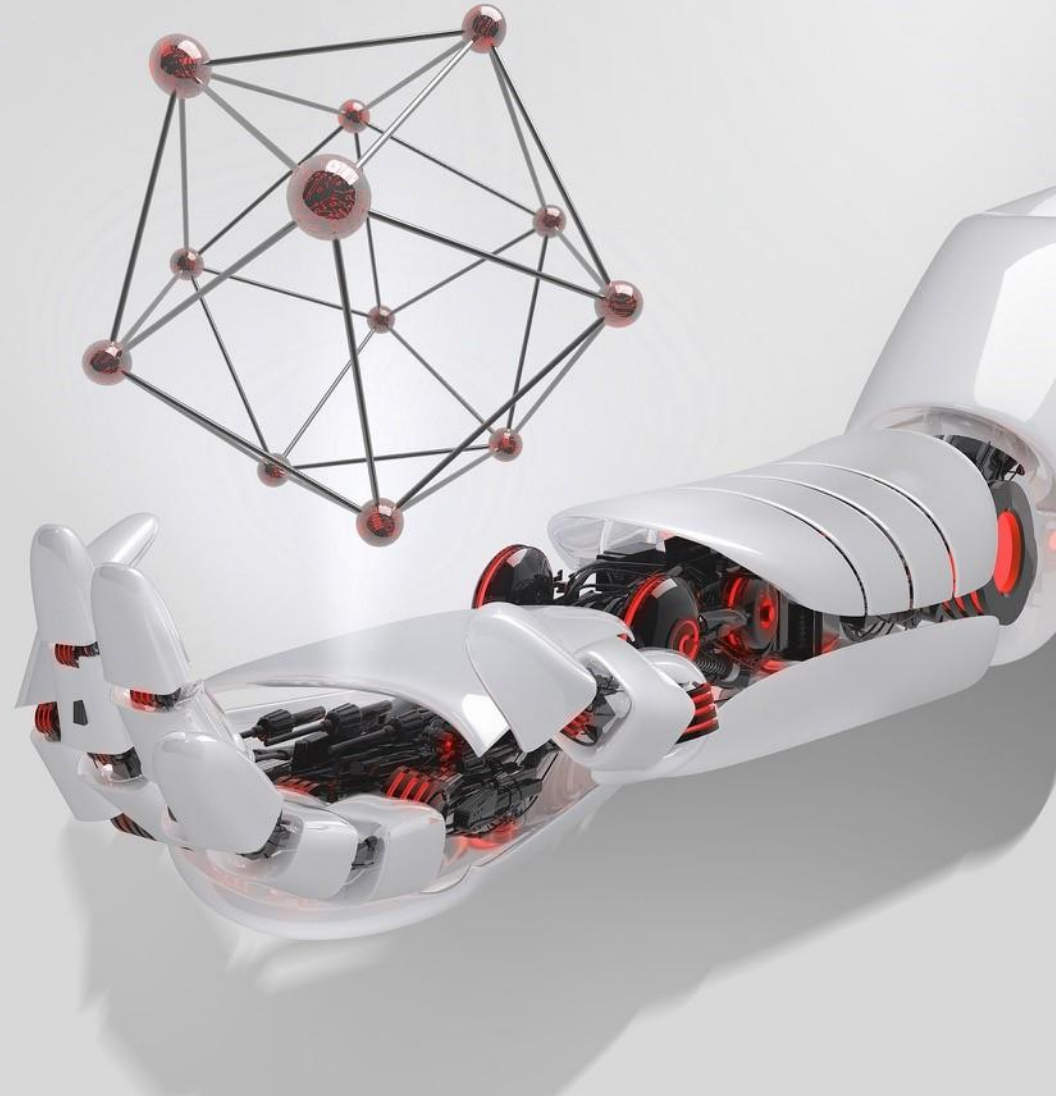
• FWA:

	ZTE	HUAWEI	Others
EAR Compliance	✓	✗	✓
Price	Competitive	High	Competitive
Network Cooperation	✓	✗	✗
Customer Relationship	✓	✓	✗
Customization Flexibility	Partly Outsourcing	Self-develop	Outsourcing
Fulfillment Flexibility	8 weeks	8 weeks	12-20 weeks
Service Efficiency	✓	✓	✗

• Wearable:

	Apple	Samsung	HUAWEI	XIAOMI	Garmin
EU9 Market Value Share	40%	16%	11%	5%	13%
Eco-System	IOS	Android	Harmony	Android	Android
Smartphone Cooperation	✓	✓	✗	✓	✗
Compatibility to Other System	✗	✗	✓	✓	✓
Brand Marketing	✓	✓	✓	✗	✓

Step-by-Step Actions and Levers for Business Growth



Huawei's Product, Service, and Supply Chain Advantages Help Resolve H3G High Opex, Customer Churn and Lacking New Revenue Source Issues

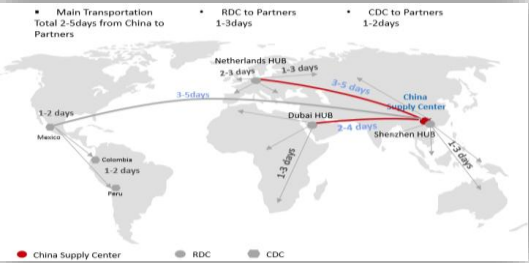
High OPEX

ODU Self-installation Solutions
Lower customer support costs

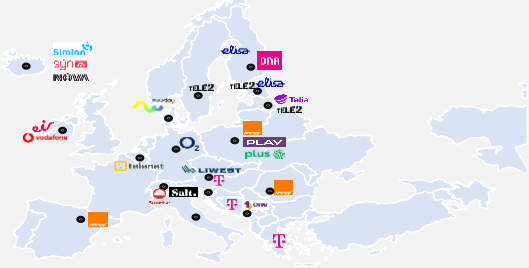


Stable Supply Chain

Shorter payment period, better capital flow



500+ Operators' Trusted Partner Worldwide
30+ Major EU Operator partners, No.1 MBB Shipment



Lacking New Revenue Streams

Premium Smart Watch & Audio
new for H3G's portfolio



Joint marketing + In-house Marketing

Huawei's brand image help H3G boost sales



Huawei Health + Three App

New income from Health + purchase commission



Customer Churn

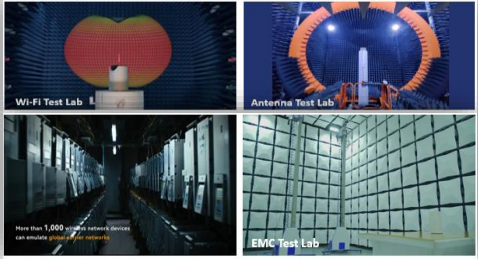
Ultra Product Performance

High quality product increase consumer loyalty



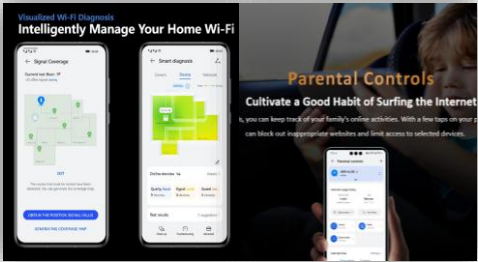
Excellent Quality

Durability and stability reduce customer churn



Enhance Consumer Experience

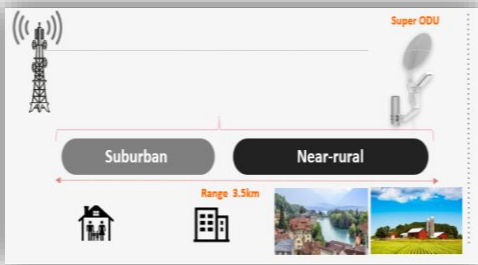
AI Life one-stop management



Declining or Flat ARPU

Super ODU

Help H3G win back near-rural consumers, premium tariff plan increases ARPU



Premium CPE & Super MiFi

8*8 MIMO CPE, Super MiFi enables high-value tariff plan

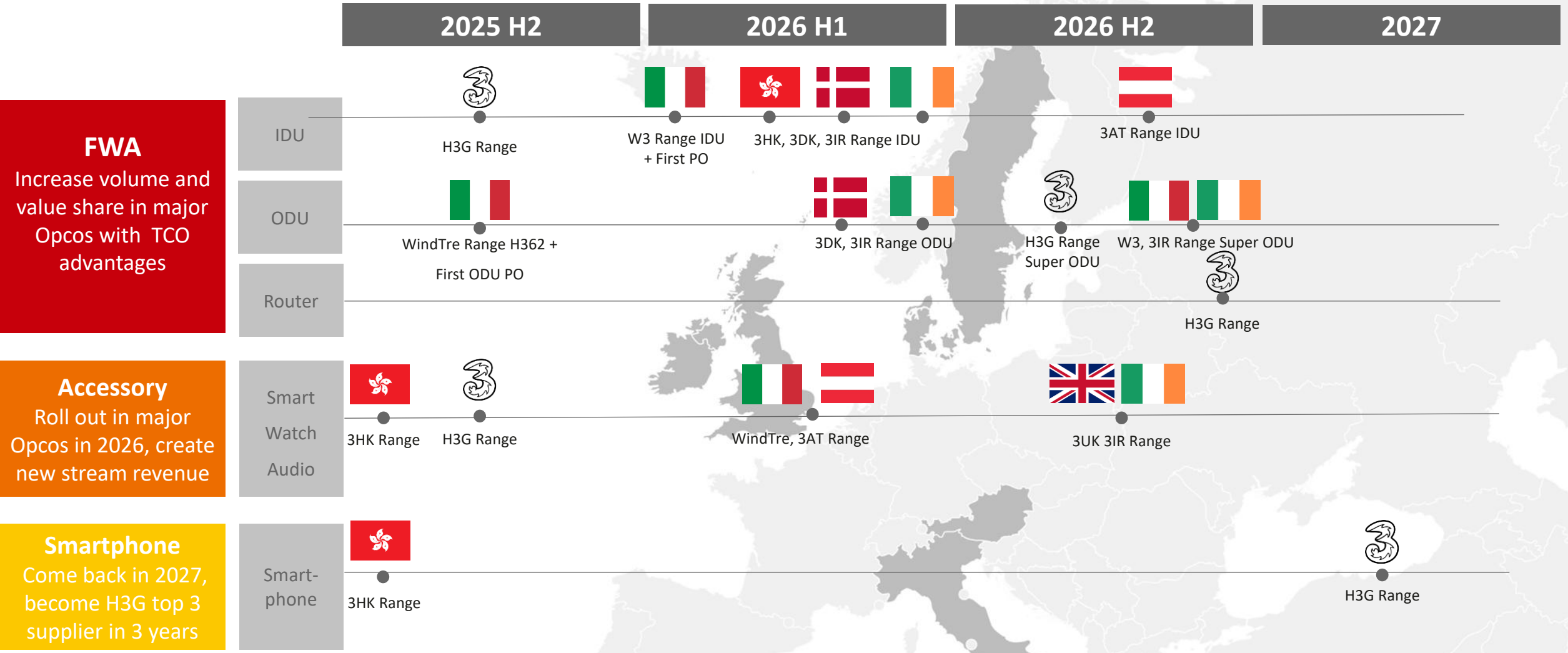


Value-added Service

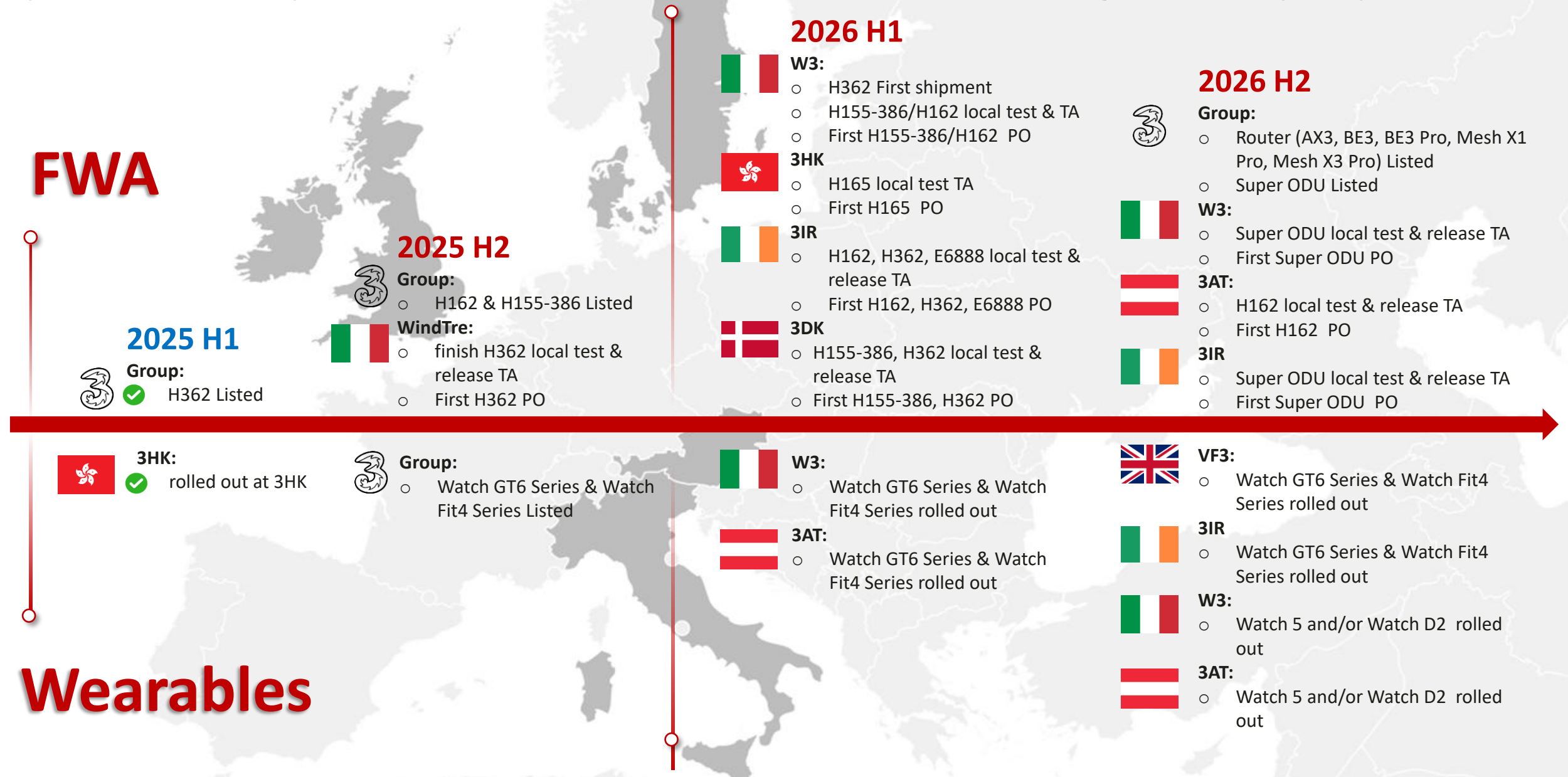
App Turbo levels up speed and stability, and enable high-value service



Huawei Strategy and Planning: MBB + Wearables Drive Business Growth



2026 Plan: FWA first shipment to W3 Establishes a Benchmark to Expand to Europe Scale-up; Wearables Expand from Collaborations with HK to Breakthroughs in Europe Opcos



Brand & Channel Levers: Joint Marketing Increases ARPU And Customer Base for Three, while Enhancing Huawei’s Visibility and Revenue Growth.

Existing Case:

Co-branded Launch Campaigns

Three gets **exclusive early access or special bundles** for new Huawei products launch, and secure premium display in store and online.



HUAWEI Pura80 Series



Save **\$6,788** with data for 3 destinations

50GB/month mainland China/HK/Macau shared data

Free HUAWEI Pura 80 Pro / Pura 80 Ultra

Order Now

Customers are required to subscribe to a designated monthly plan. 50GB bundle and related offer details see Terms and Conditions below.

HUAWEI Pura 80 Series

HUAWEI Pura 80 Ultra Specifications	HUAWEI Pura 80 Pro Specifications	HUAWEI Pura 80 Specifications	Get a Special Offer
-------------------------------------	-----------------------------------	-------------------------------	----------------------------

Handset discount up to \$6,788 upon Tactical Handset Plan Subscription*

- Order privileges:
 - HUAWEI Pura 80
 - Free HUAWEI FreeBuds Pro 4 (value \$1,549)
- HUAWEI Pura 80 Pro / 80 Ultra
- Free HUAWEI FreeBuds Pro 4 (value \$1,549) and Huawei MatePad SE 10.36 WIFI 128GB (value \$1,688)

Future Idea:

Trade-in Offers or Bundle

Three provides trade-in top-ups or contract discounts to encourage users changing to newer phones; Huawei offers rebates.

1 Search for mobile phone models

2 Obtain preliminary valuation

3 Schedule an appointment to confirm the best price in-store.

Estimate recycling price

HK\$2,600

*The final buyback price will be determined based on the inspection by 3Shop staff.

Book now and enjoy a 5-day buyback guarantee! Act now!

Device data

Device Model **Huawei Pura 70 Pro**

Schedule an appointment at 3Shop for inspection and recycling

3 Hong Kong offers a 5-day guarantee on your trade-in price. Please bring the quote from the confirmation email and the phone you wish to trade in to the 3Shop where you have successfully booked an appointment within 5 days for a price assessment* and trade-in service!

*Prices may vary depending on the actual phone model.

Exclusive Devices or Colours sales

Three secures a unique SKU, available only at Three.

mobile phone freedom Telephony Internet TV & Products

Shop Exclusive Colour



HUAWEI WATCH ULTIMATE DESIGN Extraordinary Master Sapphire Gold Edition

Huawei's first sapphire gold smartwatch. High-end without boundaries, extraordinary design.

£xxxx

Bonus points

shape

Sapphire Gold Edition Gold version

Future Idea:

Exclusive Discounts on Three’s Reward App

Co-brand promotion on Three’s Loyalty rewards App, such as Three+ App (3UK) and WINDAY App (WindTre).

Google Play Games Apps Books

Three+

Hutchison 3G UK Ltd

3.8★ 8,11K reviews 1M+ Downloads PEGI 18

Install Share

This app is available for all of your devices

There's more to life on Three+

Surprise Spin

Codes

Use your reward codes right away, or keep them safe and sound for when you need them.

Three+ Your reward codes.

Available codes Expired codes

- Win big with Gogglebox Win 1 of 3 HONOR bundles. You've already entered this prize draw.
- £1 coffee at Caffè Nero Expires: 01/10/23
- Free gelado at Nando's Expires: 01/10/23

Top rewards All rewards My codes Settings



15% off for Huawei Audio products

Expired: xx/xx/2026

Brand & Channel Levers: Partner with Medical Institutions to Promote Huawei Wearables, Enhancing Brand Value and Social Impact; Huawei is Beyond a Device Vendor and also CSR Partner

China: Huawei Watch D2 X Healthcare Institutions

- Watch D2 is sold in many pharmacies across China, with strong sales in regions such as Shanghai, Guangdong, and Zhejiang
- Eligible for national medical insurance reimbursement (partly)

華為WATCH D2可報銷醫保 多地藥店火爆銷售要預約

即時中國 更新時間：19:30 2025-02-09 HKT



華為智能手錶WATCH D2具有測心跳、血壓功能，內地有民眾發現該錶被列入醫療器械，可以用醫保抵扣部份價格，令上海、廣東、浙江等地藥店，火爆銷售。

Italy: WINDTRE & Italian Society of Paediatricians

- Italian Society of Paediatricians is a not-for-profit scientific association that protects and promotes children’s health and development.
- They are cooperating to develop a internet and digital devices users guide, looking after children and their families



WindTre Focus



CSR

Children’s health and development

Digitalization and Caring for the elderly

Potential Joint Opportunity



Advanced Kids Watch

- Safety Surfing
- Location Tracking
- Health Monitor



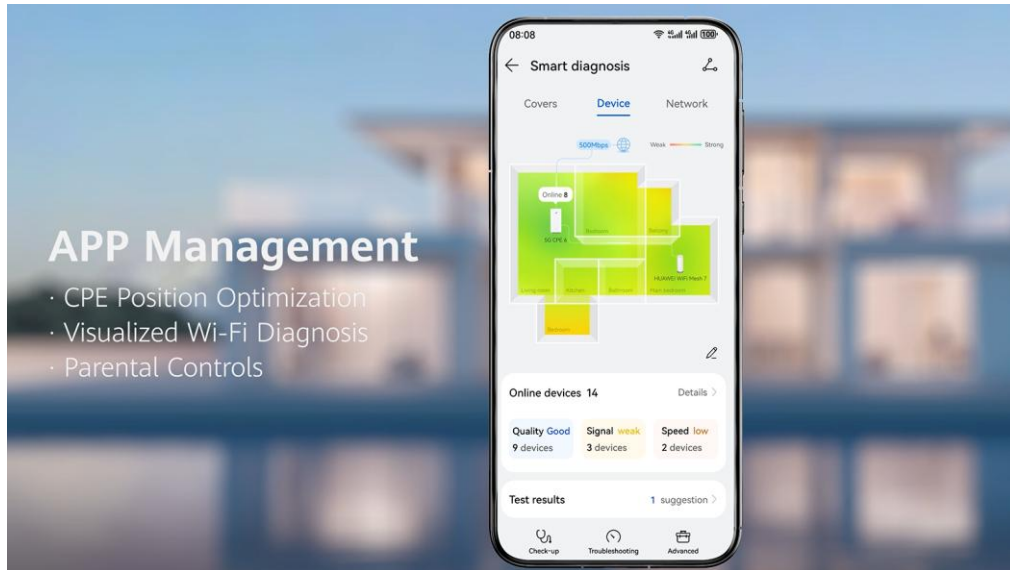
HUAWEI Watch D2

- The world's first smartwatch With Ambulatory Blood Pressure Monitoring Certified by both MDR and NMPA

Partnership & Innovation Levers: AI Life Integration into Three App, Streamlines Device Setup & Management, Reduces Customer Service Costs

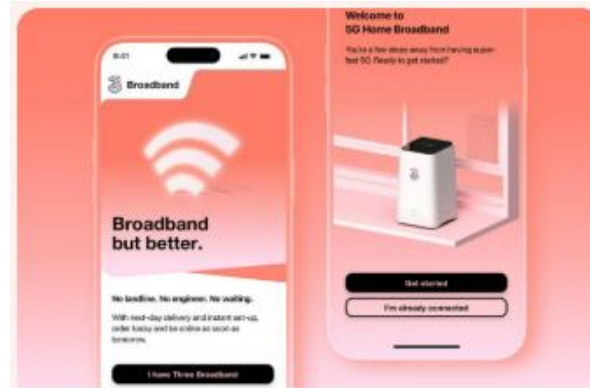
AI Life APP, all-in-one home network management entrance

Supporting visualized management and diagnostics for home networks, optimizing home network



- Visualized Coverage
- AI Agent
- Location Recommendation
- Parent Control

Integrate into



Home Broadband

Set up and find the best place for your hub with the real-time signal strength indicator.



For Three Customers:

Better user experience & Satisfaction

complete the entire setup process for their 5G broadband service within a unified App, no need to switch between multiple Apps



For Three:

Reduced Support Costs

clear instructions within the App directly translates into fewer customer inquiries and technical support calls, which lowers the operational costs for customer support teams.



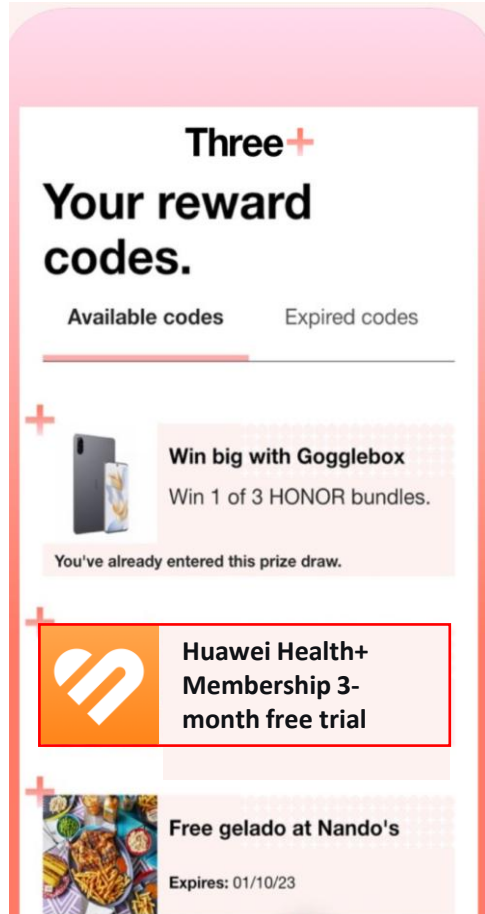
For Huawei:

Increased Product Value Proposition and Strengthen Partnership

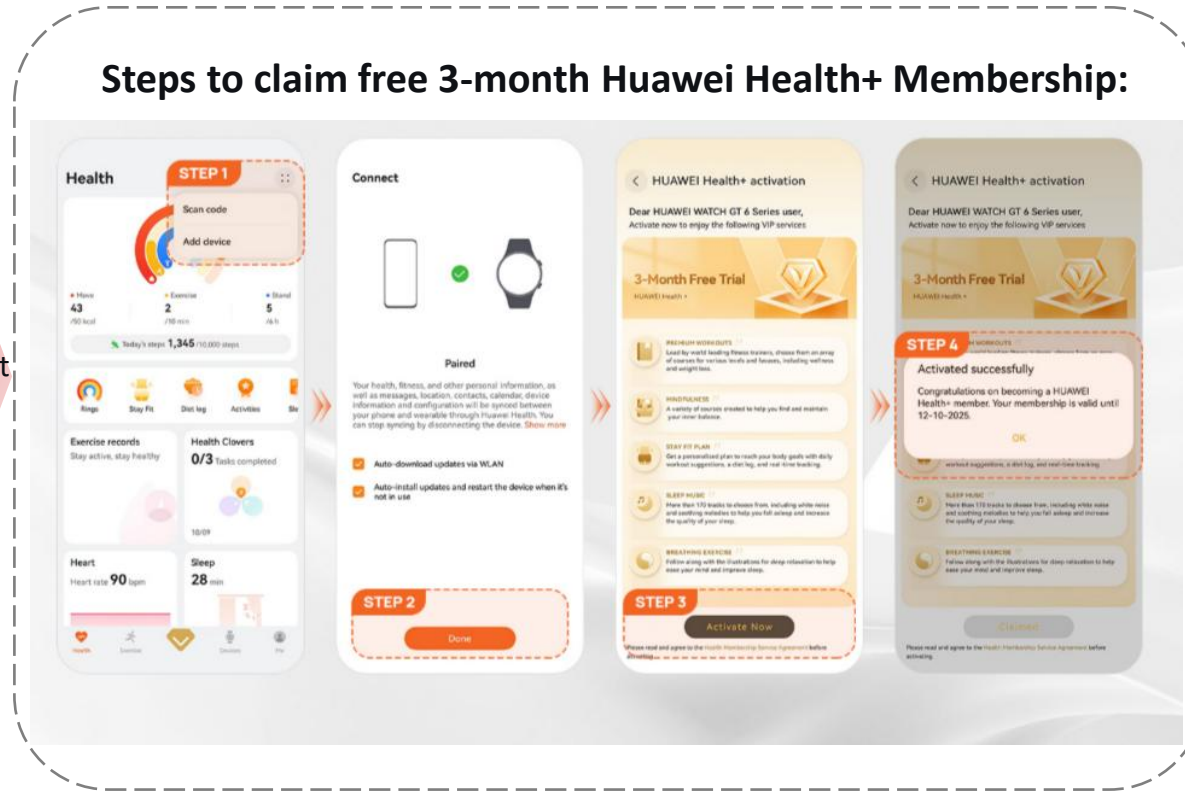
Huawei's 5G broadband solution is part of a seamless, software-enabled service, this enhances the perceived value of our offering. This App customization moves the relationship to a deeper strategic partnership, making Huawei technology an integral part of their ecosystem.

Integrate Huawei AI Life App's functionality (e.g. WiFi signal heatmap, location recommendation, parent control) into the Hutchison opco's own application.

Partnership & Innovation Levers: Integrate Huawei Health into Three App to Diversify Hutchison's Services and Increase our Huawei Health+ Subscriptions.



Redirect to



For Three Customers: Seamless experience

Benefits from a smooth, one-click redirect to complete purchasing valuable health service within their familiar app.



For Three: Enhances Service Portfolio & Creates New Revenue Streams

Enriches Three app with popular health and wellness services; revenue sharing from Huawei Health+ subscription sales facilitated through Three app .



For Huawei: Acquires High-Intent User& Boosts Membership Subscriptions& Strengthens Ecosystem

Gains direct access to the Three's large customer base; increasing Huawei Health+ subscriptions; extends the reach and integration of the Huawei ecosystem into partner platforms.

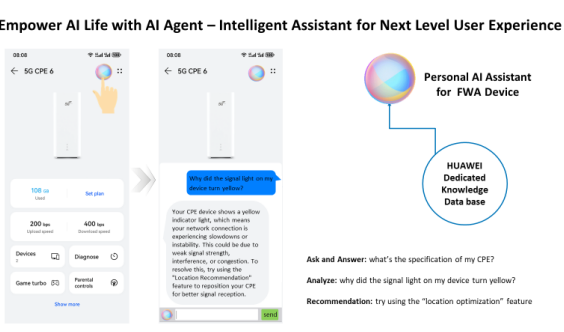
Integrate an entry point for **Huawei Health App membership subscriptions** within the “**rewards**” page of the **Three+ App**, users will be redirected to **Huawei Health App** to make their purchase.

Other Levers – Expand Cutting-edge Ecosystem Partnerships to Solidify Our Strategic Alliance (AI, Smart Home, GPU, Connected Vehicles)

AI

Improve user experience through AI agent Celia

Empower AI Life with AI Agent – Intelligent Assistant for Next Level User Experience



Personal AI Assistant for FWA Device

HUAWEI Dedicated Knowledge Data base

Ask and Answer: what's the specification of my CPE?

Analyze: why did the signal light on my device turn yellow?

Recommendation: try using the "location optimization" feature

AI Life: Celia answers FAQs and provide clear instructions

HarmonyOS AI Agent

More Awesome, More AI-Powered



HarmonyOS AI Agent

HarmonyOS AI agent: smart life assistant

Smart Home

Huawei's smart home devices and solutions create a seamless connected living environment for Three users.



Smart Home Main Services Types

- Home Surveillance
- Home Security
- TV Communication
- Home Energy
- Home Health

Smart Home Gateway

User Interface

Applications

Security

Energy

Surveillance

Health

RESTful APIs

IoT@ Smart Home

Agent

OSGI Framework

Different Gateway

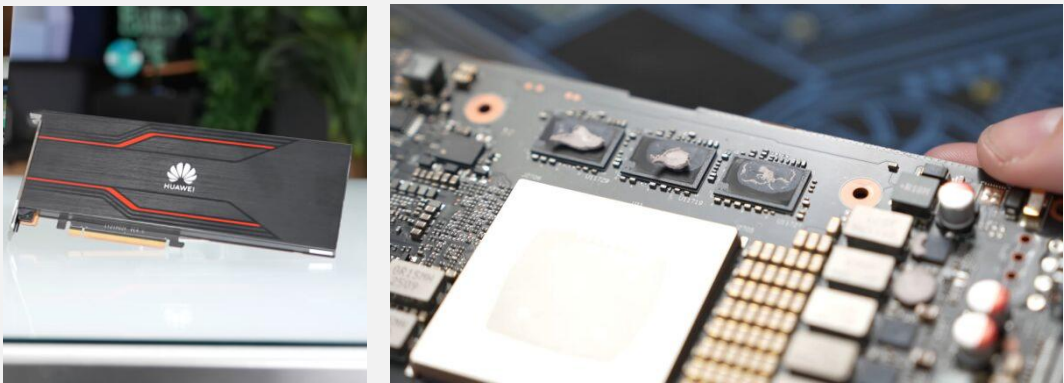
Smart ONT

STB

Smart Router

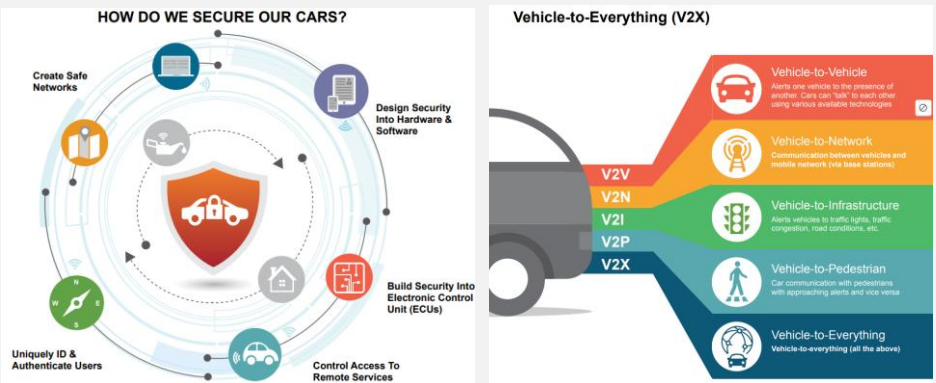
GPU

Three adopts Huawei's GPU computing solutions build AI computing centers and cloud service, such as AI inference, video analytics and network optimization.



Connected Vehicles

Huawei cars leverage Three's 5G networks to enable high-speed, low-latency vehicle-to-everything, jointly deliver a safer and smarter driving experiences.



HOW DO WE SECURE OUR CARS?

- Create Safe Networks
- Design Security Into Hardware & Software
- Build Security Into Electronic Control Unit (ECUs)
- Control Access To Remote Services
- Uniquely ID & Authenticate Users

Vehicle-to-Everything (V2X)

- Vehicle-to-Vehicle
- Vehicle-to-Network
- Vehicle-to-Infrastructure
- Vehicle-to-Pedestrian
- Vehicle-to-Everything

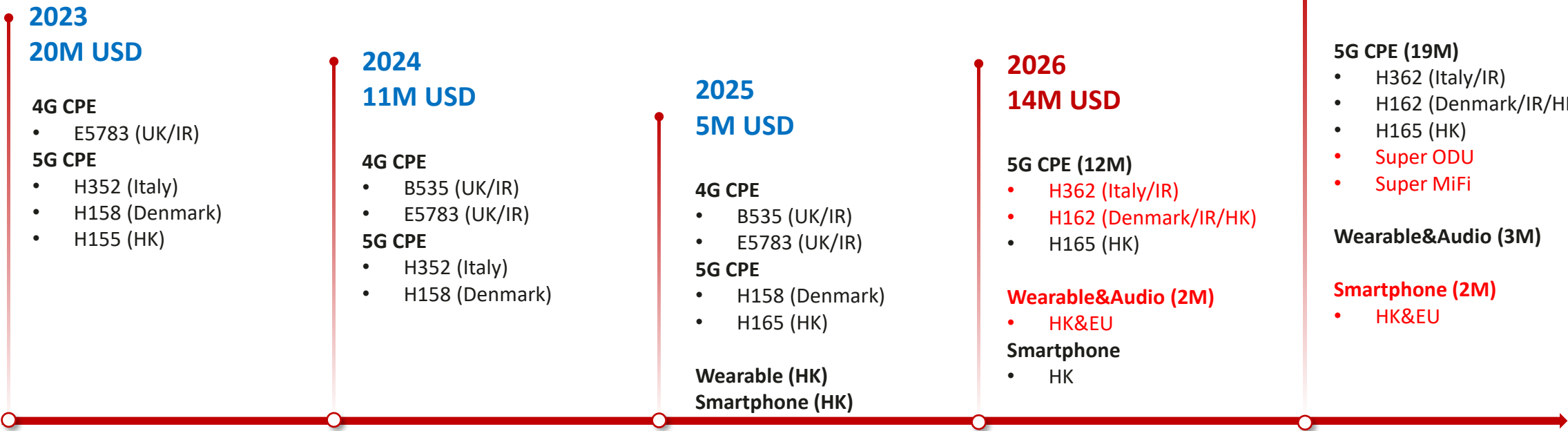
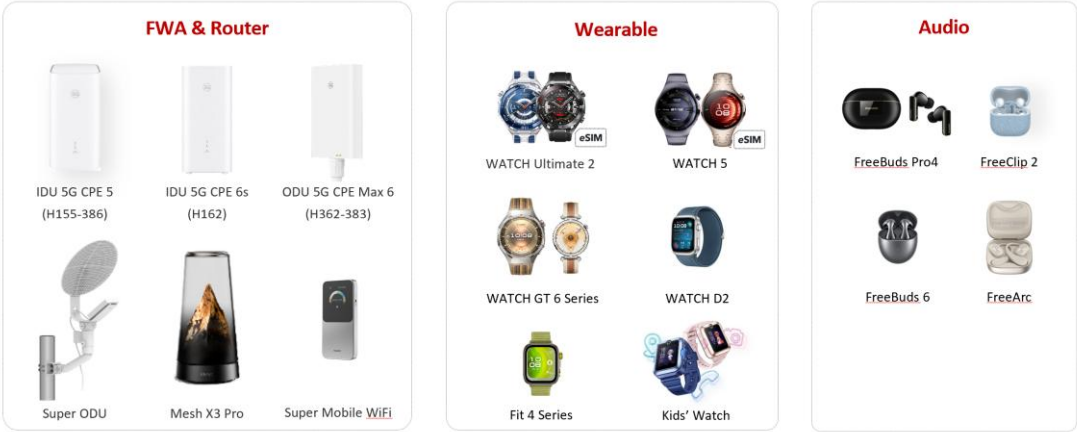
Financial Forecast: Reach \$19M in 5G CPE and \$3M in Wearables Revenue by 2027.

2026-2027 FWA Revenue Forecast

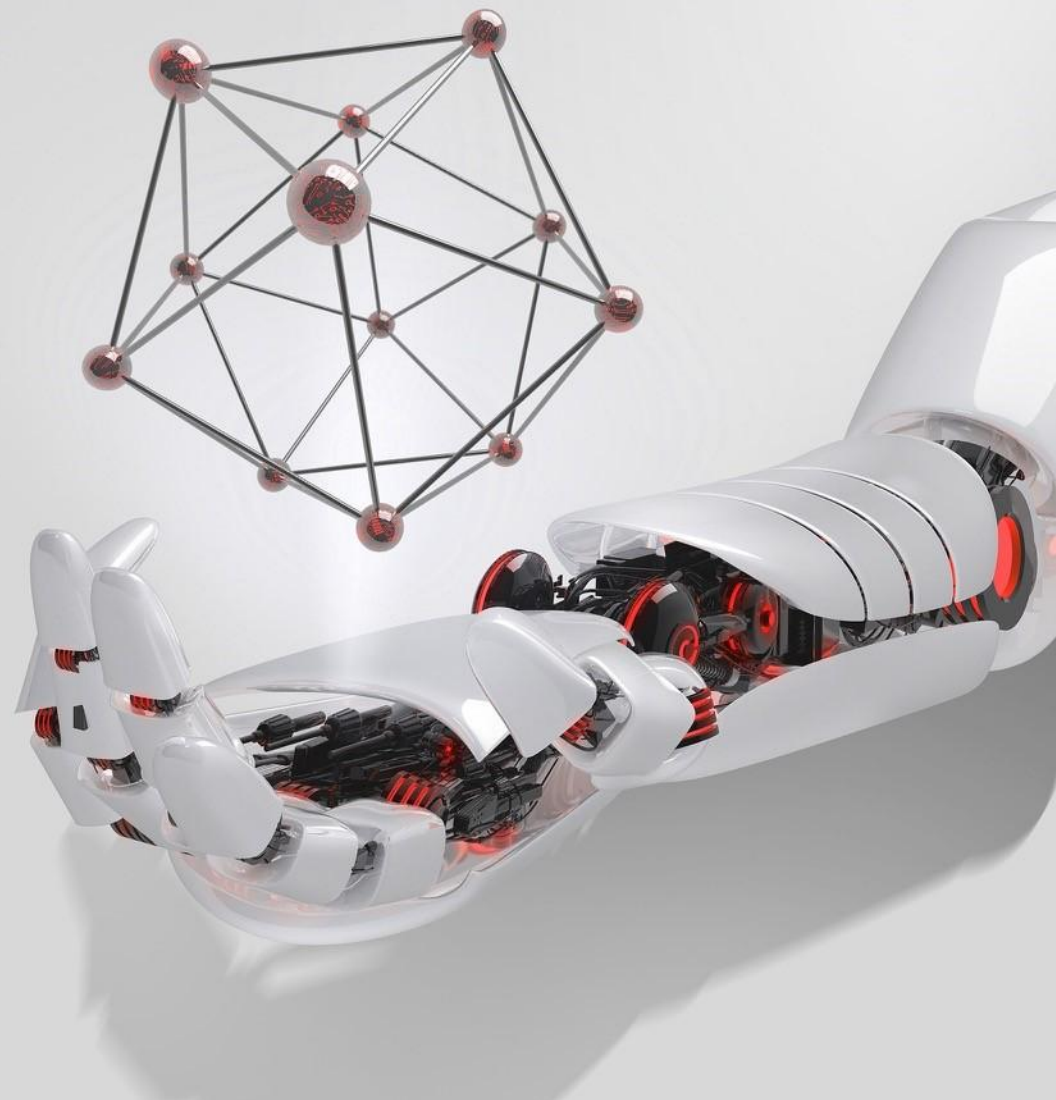
2026							
Country	Segment	Model	Quantity (K)	Price (USD)	Revenue (MUSD)	Space	Target Share
Italy	ODU	H362	50	105	5.25	150	33%
Italy	IDU	N/A	0	100	0	30	0%
Ireland	IDU	H162	10	100	1	30	33%
Denmark	IDU	H162	20	100	2	40	50%
Austria	IDU	H162	0	110	0	25	0%
Hong Kong	IDU	H165	25	150	3.75	50	50%
Total			105		12		

2027							
Country	Segment	Model	Quantity (K)	Price (USD)	Revenue (MUSD)	Space	Target Share
Italy	ODU	H362	80	100	8	150	53%
Italy	IDU	N/A	0	95	0	30	0%
Ireland	IDU	H162	15	95	1.425	30	50%
Denmark	IDU	H162	25	95	2.375	40	63%
Austria	IDU	H162	10	105	1.05	25	40%
Hong Kong	IDU	H165	40	150	6	50	80%
Total			170		18.85		

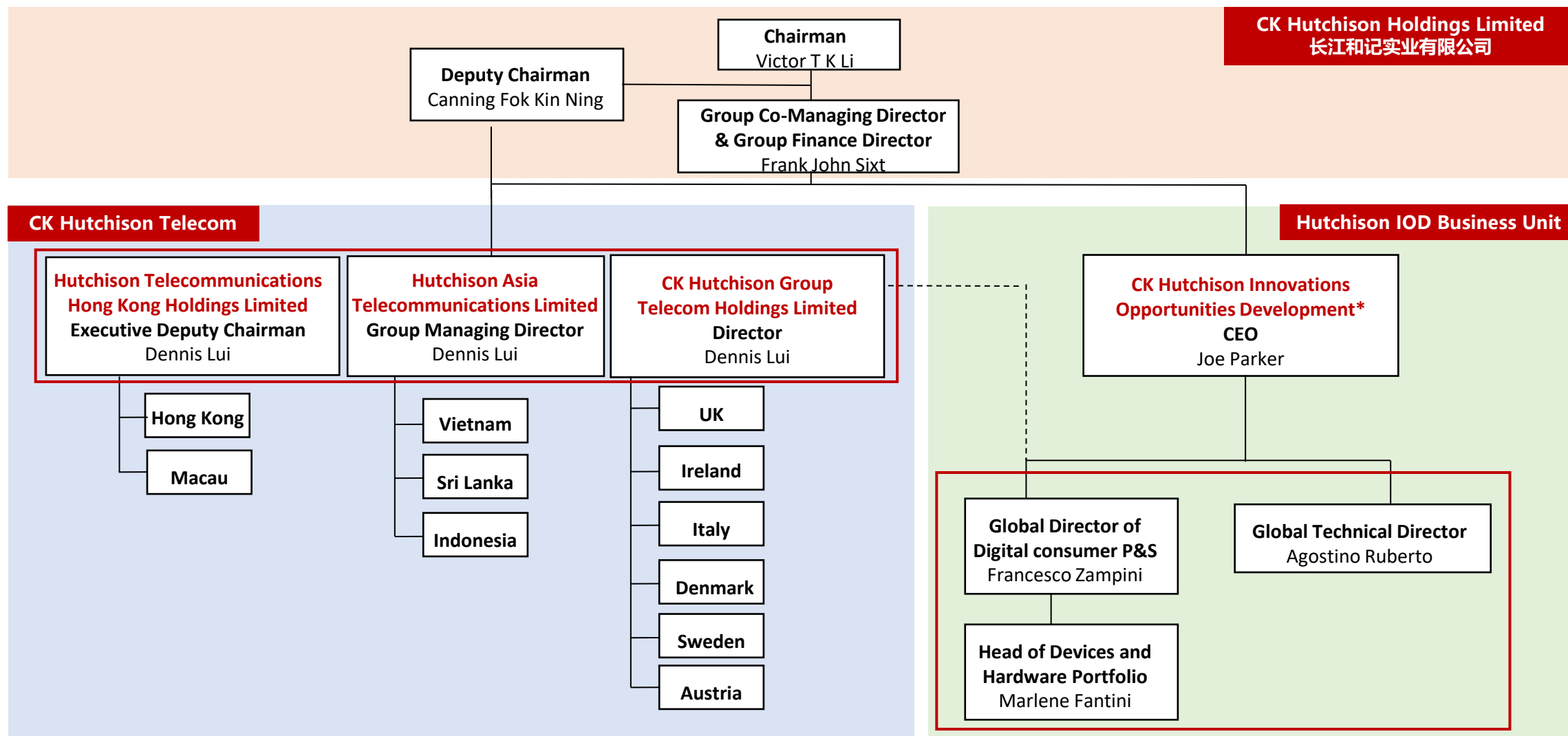
FWA→Full Portfolio Cooperation



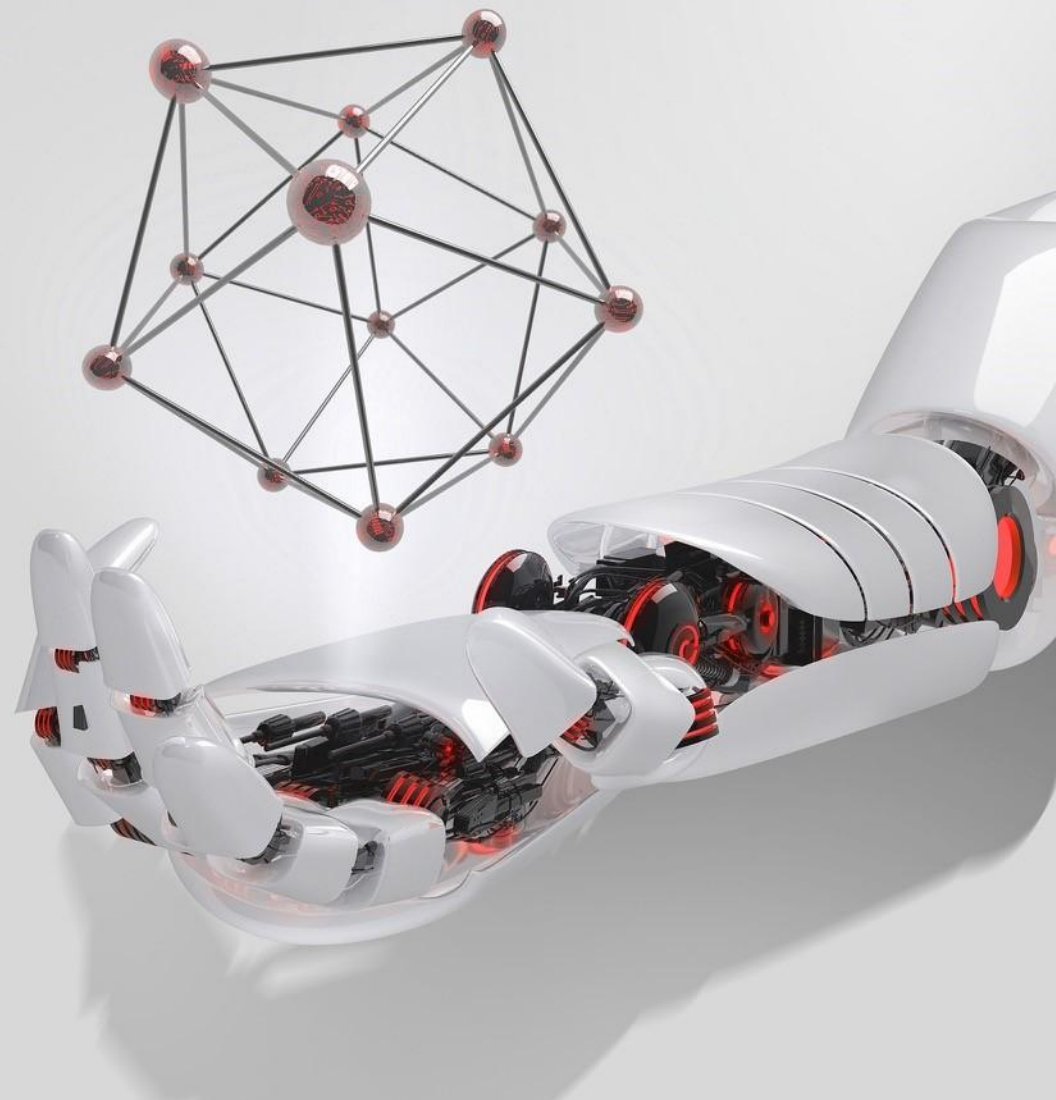
Hutchison Company Structure & Customer Relationship Mapping



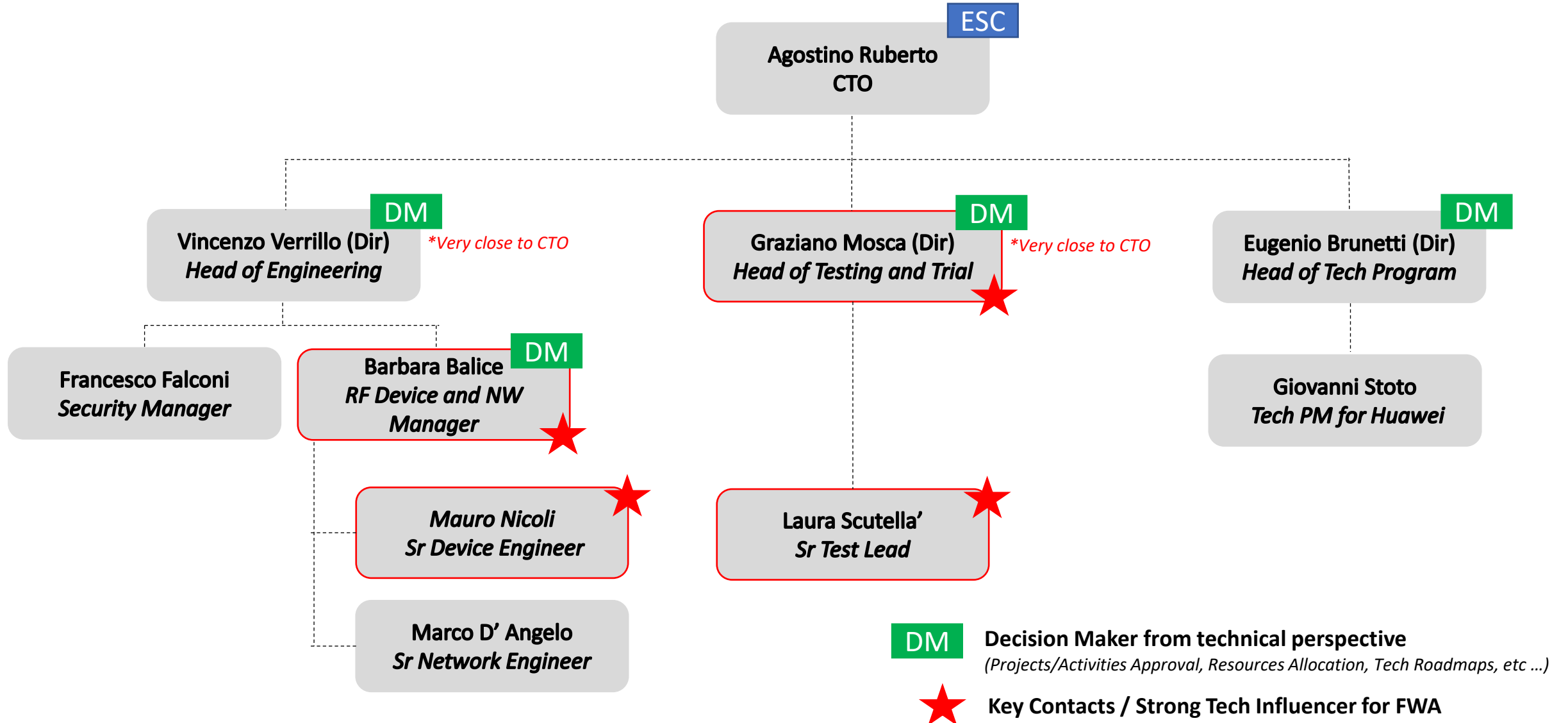
Relationship Mapping



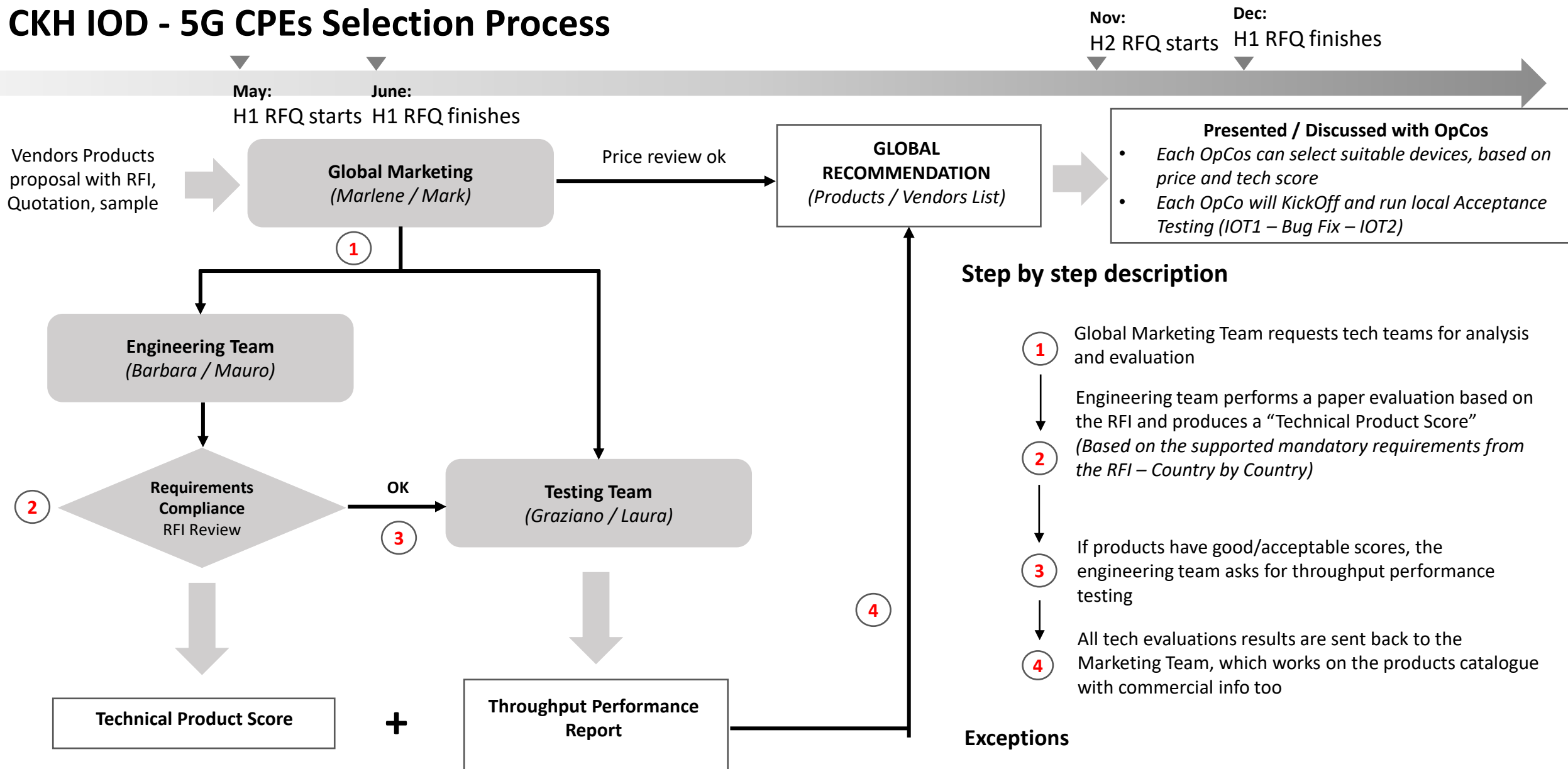
Technical and Commercial Ranging Process



Technical Team in Rome – Key Contacts Organization



CKH IOD - 5G CPEs Selection Process

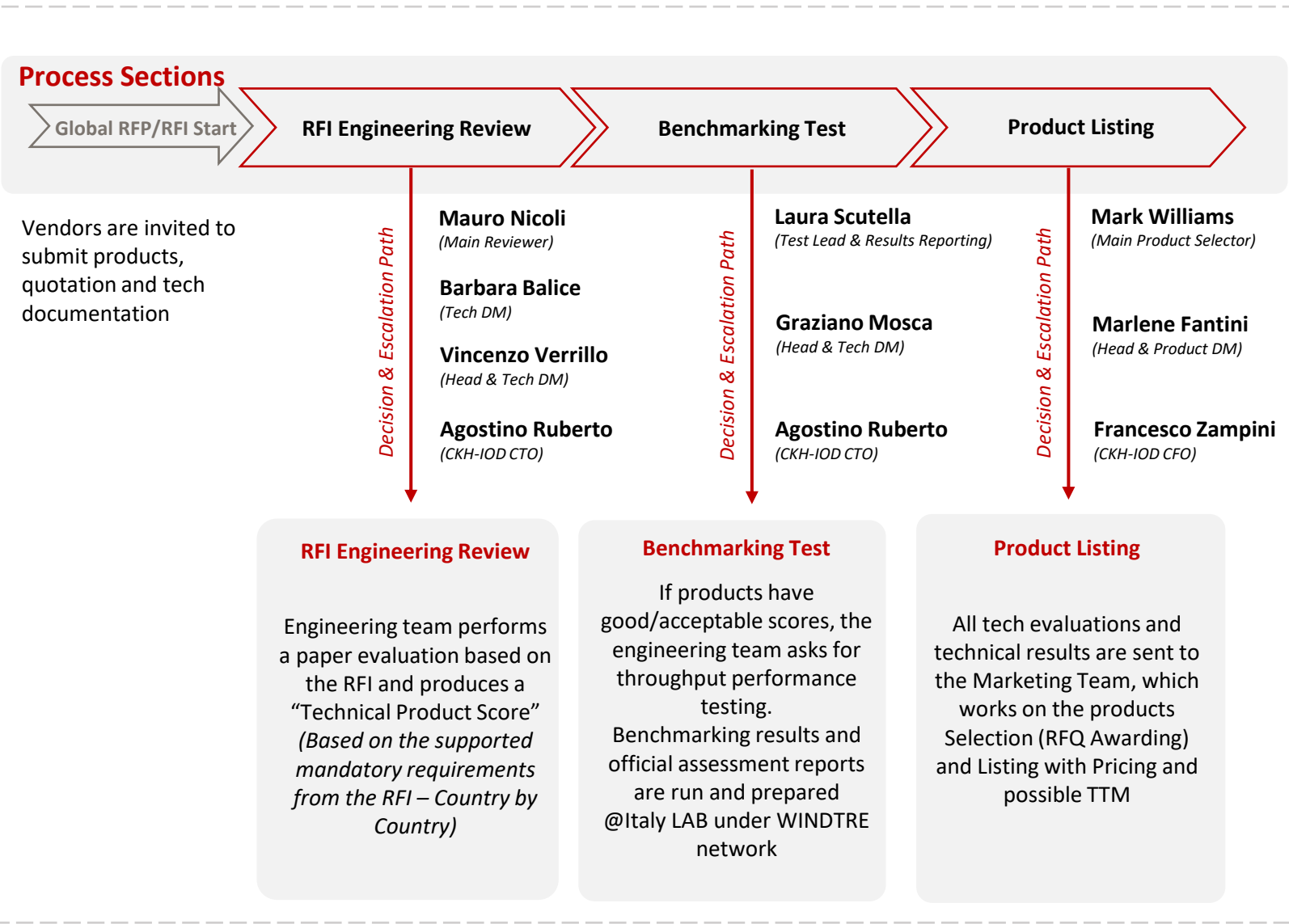


Note: for wearables, there's **no global ranging process or specs requirements from the Group**, except for the eSIM specs shall be compliant to the GSMA specs. Opcos can decide what products they are going to range based on local market needs, but the group has the veto right. Similar case with Audio products.

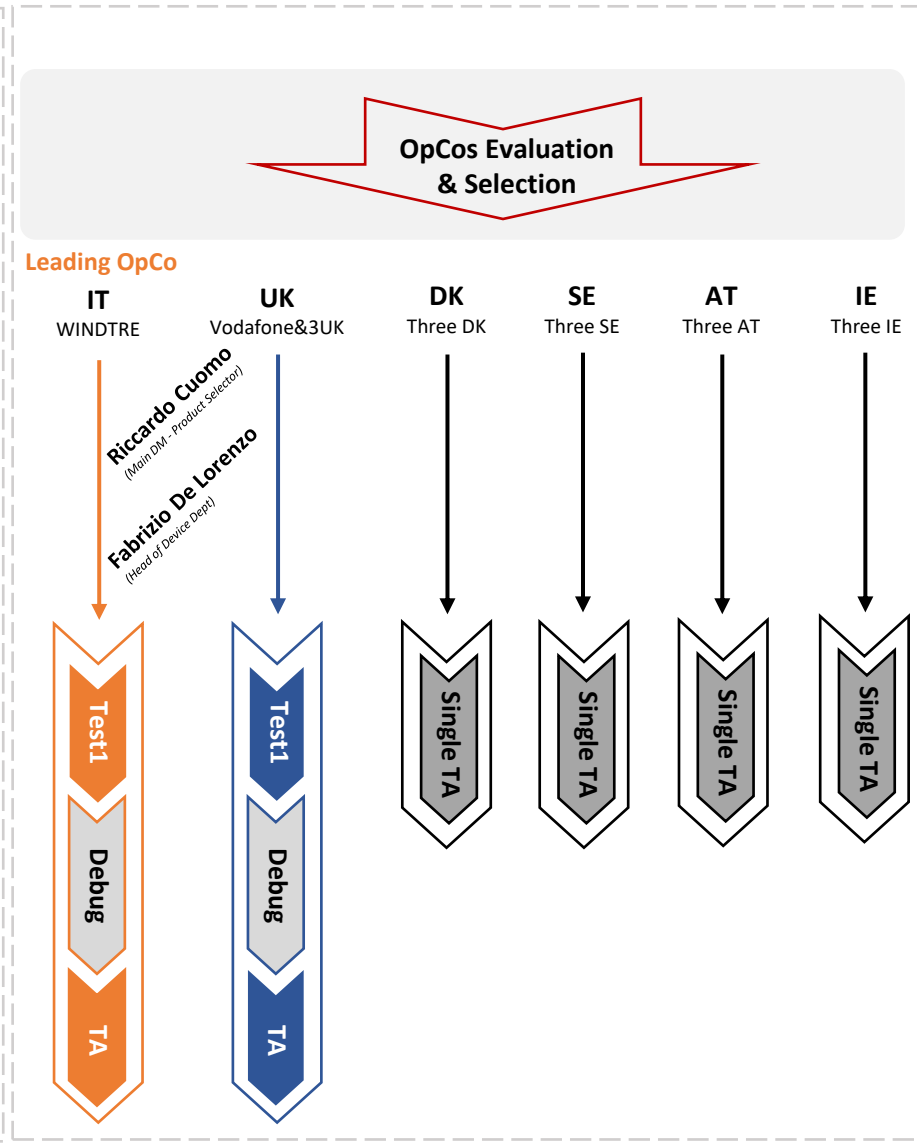
For VF3, after the merger in June 2025, they can bid independent without the approval from Hutchison Group.

CKH IOD – Product Listing Process

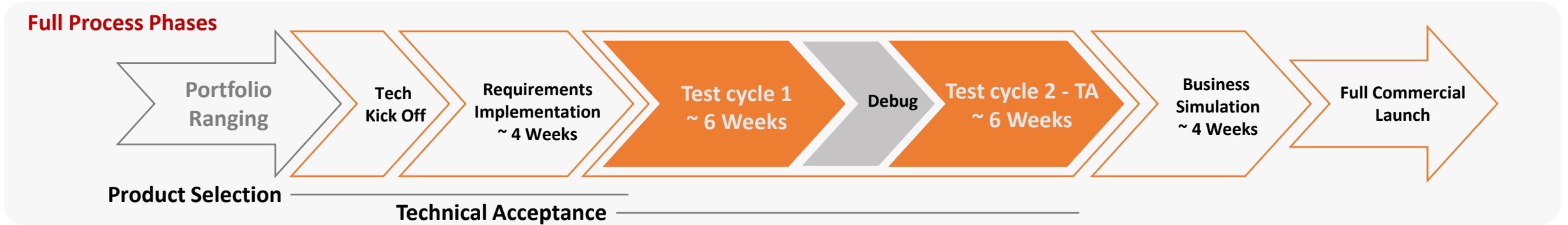
Decision Making Chain @ Group Level



@ Decision Making Chains Local Level



Technical Certification Process



Key Milestones

↑
Planning & TTM

↑
Software & Hardware
Custom Consolidation

↑
Ready for
Test

↑
Final SW and deliverables
Ready for TA

↑
Final GO !

Selection & Tech KickOff

- Hutchison Group decision of product selected into Group portfolio with targeted OpCos scope based on Specs and Pricing
- Tech Kick Off with all project stakeholders from Commercial-Product, Engineering and Testing teams
- Full planning definition of all phases and target TTM
- Full HW / SW / Collaterals / Deliverables definition

Requirement Consolidation

1. As the key follow up from the kick-off, requirements have to be aligned with customers in all related areas: Hardware/ID, Software, Collateral, Certificates & Documents
2. Requirement Fix on the SW is a real key milestone to start Test Cycle 1, including Radio Cellular, TR069/TR143, FWA – Fixed network line customizations
3. This is a critical phase to check feasibility and applicability of all customizations. If any limitations/different solution, strong negotiations might be needed

Test Cycle 1 → Debug → Test Cycle 2 → TA

1. Each testing cycle can last up to 6 Weeks: 2 weeks focused on cellular customization and throughput performance, 4 weeks focused on very complex Tr069 customizations and deep interoperability
2. Debug phase duration depends on the number of issues found during the cycle 1 and their criticality
3. Test Cycle 2 starts only if all critical issues are solved and all mandatory deliverables (such as GCF, CTIA, CE, ...) are ready
4. Technical Approval (TA) is the last technical milestone to go through the final BS phase

Business Simulation and Commercial Launch

1. The business simulation phase is the end users trial period to check the final stability of products in the real field users conditions
2. Usually this period can last up to 1 month and it is run over 1000 ~ 2000 end customers under monitoring
3. For this phase all hardware / software customizations and collaterals have to be finalized and ready for the mass market
4. If during the business simulation period no issues happen and no complaints from customers, products are open to the mass distribution with the full commercial launch

Thank You

